TRADING FOUNDRY

COURSE PLAYBOOK · INTERMEDIATE · 10 LESSONS

RSI & Divergence *Trading.*

Read RSI for what it really measures, trade divergence only where structure agrees — and know exactly when the idea is dead.



EDUCATION ONLY — NOT FINANCIAL ADVICE. CHARTS ARE ILLUSTRATIVE, SYNTHETIC PRICE DATA.

Contents.

MODULE 1 — READING RSI PROPERLY

1. What RSI Actually Measures · 15 MIN
2. The Overbought and Oversold Myth · 15 MIN
3. RSI Regimes — The 40–80 and 20–60 Ranges · 16 MIN

MODULE 2 — DIVERGENCE, REGULAR AND HIDDEN

4. Regular Divergence — Momentum Fading at the Extremes · 17 MIN
5. Hidden Divergence — The Trend-Continuation Clue · 16 MIN
6. Failed Divergence — How It Fails and How to Spot It Early · 16 MIN

MODULE 3 — FILTERS, TRIGGERS AND RISK

7. Location — Divergence at Key Levels Only · 16 MIN
8. Confirmation Triggers — From Warning to Entry · 17 MIN
9. Stops, Targets and the Bigger Picture · 18 MIN

MODULE 4 — CAPSTONE

10. Capstone — The Complete RSI Divergence Playbook · 22 MIN

What you will be able to do

- Explain how RSI is calculated and read any value as a statement about recent momentum, not price
- Diagnose the market regime in thirty seconds and read RSI through its 40–80 bull and 20–60 bear ranges
- Identify and draw regular and hidden divergence correctly between genuine, adjacent swings
- Filter divergence by location, acting only at levels marked from structure before RSI is consulted
- Choose and apply a written confirmation trigger — rejection candle or closed structure break — for each setup type
- Spot stacked, sideways and reclaimed divergence early and exit failing ideas before they cost more than planned
- Place stops at the point of invalidation, size positions from the stop, and take only setups that pay at least 2R
- Use a higher timeframe to set the regime and a lower timeframe to time divergence entries in that direction

This playbook is educational content only. It is not financial advice and nothing in it is a recommendation to buy or sell any instrument. Every chart is an illustrative training example built from synthetic price data — not a record of real market history or results. Trading foreign exchange on margin carries a high level of risk.

What RSI Actually Measures.

MODULE 1 — READING RSI PROPERLY · LESSON 1

Explain exactly how RSI is calculated, read any reading as a statement about recent momentum, and stop treating the number as a verdict on price.

Almost every forex chart you will ever see has an RSI panel underneath it. Ask the trader who put it there what the line measures and the usual answer is "whether the market is overbought or oversold". That answer is incomplete at best, and it is the root of most of the money lost with this indicator.

This course is about one tool, used properly. Before we touch divergence, regimes or entries, we need to know what the number on the screen actually is — because every rule later in the course is built on it. If you understand the arithmetic, you will never again be surprised that RSI "stayed overbought" for two weeks, and you will see divergence for what it really is: a measurement, not a prophecy.

The calculation, without the mystique

The Relative Strength Index was published by J. Welles Wilder in 1978, in the same book that gave us the Average True Range. Wilder was an engineer, and RSI is an engineer's tool: a way of compressing recent momentum into a single number that always sits between 0 and 100.

Here is the whole calculation:

1. Look at the last 14 candles (14 is Wilder's default and the one this course uses).
2. For each candle, compare its close with the previous close. If it closed higher, record the gain. If it closed lower, record the loss as a positive number.
3. Average the gains. Average the losses.
4. Divide average gain by average loss. That ratio is the "relative strength", RS.
5. Convert it to a 0–100 scale: **RSI = 100 − 100 ÷ (1 + RS)**.

That is the entire indicator. No volume, no sentiment, no order flow. Just the size of recent up-closes compared with the size of recent down-closes.

Three worked numbers make it concrete. Suppose that over the window the average up-close was 12 pips and the average down-close was 4 pips. RS is 3, and RSI is 100 − 100 ÷ 4 = 75. Now suppose up-closes and down-closes averaged 6 pips each. RS is 1, and RSI is exactly 50. Finally, average up-close 4 pips, average down-close 12 pips: RS is a third, RSI is 25.

KEY POINT

RSI answers one question — over the last 14 candles, how large were the up-closes compared with the down-closes?

Speed, not distance

Notice what that question does *not* ask. It does not ask how far price has travelled. It asks how one-sided the travel was. A market that rises 120 pips in eight clean candles produces almost no down-closes, so average loss is tiny and RSI shoots towards 90. A market that rises the same distance over thirty candles of two-steps-forward, one-step-back produces plenty of down-closes along the way, and RSI might sit in the 60s or low 70s the whole time.



The first leg climbs about 125 pips in eight candles with barely a down-close, so RSI reaches the 90s. The later grind gains a similar distance over twenty-five overlapping candles and RSI never gets past the mid-70s. Same direction, very different momentum.

This is the single most important idea in the course. RSI is a **speedometer**, not a map. It tells you how hard the market has been pushing recently, not where price is. That is why the bounded scale is so useful: an RSI of 75 means the same thing on EUR/USD H1 in 2016 as on gold daily today. You can compare this swing's thrust with the last swing's thrust on the same ruler, which is all divergence trading really is.

What a reading of 50, 70 or 30 actually says

Translate the maths into plain English and the readings become very ordinary:

- **RSI 50** — up-closes and down-closes have been the same size. Momentum is balanced.
- **RSI 70** — recent up-closes have been more than twice the size of recent down-closes (RS is 2.33).
- **RSI 30** — the mirror: down-closes have been more than twice the size of up-closes.

None of those statements says price is "too high", that buyers are exhausted, or that a reversal is due. An RSI of 70 says only that the market has been going up hard relative to how it has been going down. Hold on to that

sentence; Lesson 2 is built on it, because "going up hard" is also a perfectly good description of a healthy uptrend.



In a sideways market the up-swings and down-swings are similar in size, so the averages cancel and RSI oscillates around its 50 midline. Readings near 50 describe balance, not weakness.

Wilder's smoothing: RSI has a memory

One wrinkle matters in practice. Wilder did not use a plain 14-bar average. After the first value, each new average is built like this:

new average gain = (previous average gain × 13 + today's gain) ÷ 14

and the same for losses. This behaves like a long exponential average. Each new candle nudges the averages rather than replacing them, so old data fades out gradually instead of dropping off a cliff after 14 bars.

Two consequences follow. First, RSI moves more smoothly than price — one big candle shifts it, but does not reset it. Second, after a violent move, RSI takes time to "forget". A sharp sell-off followed by sideways drift leaves RSI climbing slowly back towards 50 over many candles, even though price is going nowhere. That recovery is the averages decaying, not buyers arriving.



A 120-pip sell-off in eight candles drives RSI into the teens. Price then goes sideways, yet RSI keeps rising for twenty candles as the large losses age out of Wilder's smoothed averages. Nobody bought anything — the arithmetic simply forgot.

COMMON MISTAKE

reading a slow RSI recovery after a crash as "buyers stepping in". Often it is just the averages decaying. Check the candles before you credit the bulls.

RSI is not a leading indicator

You will hear oscillators sold as "leading" indicators, in contrast to "lagging" moving averages. That is marketing. RSI is calculated entirely from past closes. It cannot contain information about the future, and it turns when price turns, not before.



RSI peaks within a couple of candles of the price high and only falls decisively once price does. Look for the moment the indicator warned you in advance — there isn't one. RSI describes the present precisely; it does not forecast the turn.

So what *is* the honest case for keeping it on your chart? It describes the present more precisely than your eyes can. Momentum fading beneath a rising price is hard to see on candles and easy to see on RSI. Not a crystal ball — a better pair of glasses. Every technique in this course is a way of using those glasses well.

Settings: leave them alone

You can change the lookback. A 7-period RSI is twitchy and visits the extremes constantly. A 21-period RSI is stately and rarely leaves the middle. Shorter settings give more signals of lower quality; longer settings give fewer signals with more lag. There is no magic number.

Our position is simple: stay on 14. Not because 14 is provably optimal — nobody can prove that — but because fiddling with settings is what traders do instead of fixing their process. A divergence that only appears on RSI(9) and vanishes on RSI(14) is a fragile signal. A concept that genuinely works should work on the default.

KEY POINT

the default is a feature. When everyone measures with the same ruler, your observations are repeatable and your testing means something.

Going deeper

Why the scale is bounded. As RS heads towards infinity (no down-closes at all) RSI approaches 100 but never reaches it; as RS approaches zero, RSI approaches 0. The formula compresses the extremes: moving RS

from 1 to 2 lifts RSI from 50 to 66.7, but moving it from 4 to 8 only lifts it from 80 to 88.9. Practically, the difference between RSI 85 and 90 represents a much bigger change in the underlying ratio than the difference between 50 and 55. Do not read the scale as linear at the edges.

The seed problem. Wilder's first value is a simple average of the first 14 periods; everything after is smoothed from it. Because the smoothing has a long memory, two platforms that start their calculation from different amounts of history can show slightly different RSI values for the same candle — usually a point or two. That matters if your rules contain sharp thresholds such as "below 40.0". Treat RSI levels as zones (40–50, not 40.0) and you will be immune to it.

Closes only. RSI ignores highs and lows entirely. A long-wicked candle that closes unchanged contributes nothing. That is why a pin bar can reject a level violently while RSI barely moves, and why some divergences look "wrong" if you draw price swings on wicks. We will return to this in Lesson 4: be consistent about whether you draw on closes or wicks.

Timeframe is part of the reading. "RSI is 68" is meaningless without "on which chart". The H1 RSI describes roughly the last day of trading; the daily RSI describes nearly three weeks. In Lesson 9 we give each timeframe a fixed job so the different readings stop arguing with each other.

THE RULES

- RSI measures the size of recent up-closes relative to recent down-closes — nothing else.
- Read RSI levels as zones, never as exact thresholds.
- Use the default 14-period setting unless your own documented testing gives you a reason to change.
- Always state the timeframe when you quote an RSI reading.

Summary

- RSI is a smoothed ratio of average up-closes to average down-closes, rescaled to 0–100.
- It measures the speed and one-sidedness of recent movement, not distance and not "value".
- 50 means balance; 70 means up-closes have been more than twice the size of down-closes; neither predicts a reversal.
- Wilder's smoothing gives RSI a memory, so it recovers gradually after violent moves.
- RSI is not leading. Its edge is describing momentum more precisely than your eyes can.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Over the RSI window, the average up-close is 9 pips and the average down-close is 3 pips. What is the RSI?

   A. 66.7

   B. 75

   C. 80

   D. 90

2. Two legs each rise 120 pips. Leg A takes 8 candles with no pullbacks; leg B takes 30 overlapping candles. Which will usually show the higher RSI?

   A. Leg B, because it lasted longer

   B. Leg A, because its closes were one-sided

   C. Both the same, because the distance is the same

   D. Impossible to say without volume

3. After a sharp sell-off, price goes sideways for twenty candles while RSI rises from 18 to 45. What is the most likely explanation?

   A. Strong buying is entering the market

   B. A bullish divergence has formed

   C. The large losses are ageing out of Wilder's smoothed averages

   D. The RSI setting has changed

4. Which statement about an RSI reading of 72 is correct?

   A. Price is too high and should fall

   B. Recent up-closes have been substantially larger than recent down-closes

   C. Buyers are exhausted

   D. A reversal is due within 14 candles

5. Why does this course recommend keeping the default 14-period setting?

   A. 14 is mathematically proven to be optimal

   B. Divergences only exist on 14

   C. A robust concept should work on the default, and changing settings often replaces fixing your process

   D. Shorter settings never give signals

The Overbought and Oversold Myth.

MODULE 1 — READING RSI PROPERLY · LESSON 2

Recognise why "sell above 70, buy below 30" fails in trends, identify the one regime where it can work, and replace the myth with a context-first rule.

Every trading platform ships RSI with two dotted lines, at 70 and 30. Every beginner guide repeats the same instruction: above 70 the market is overbought, so sell; below 30 it is oversold, so buy. It sounds sensible. It feels contrarian and clever. And in a trending market — which is exactly when RSI spends the most time beyond those lines — it is a reliable way of losing money slowly.

This lesson takes the myth apart using nothing but what you learned in Lesson 1, then rebuilds the small piece of it that is genuinely useful.

What "overbought" really looks like

Recall the arithmetic. RSI above 70 means recent up-closes have been more than twice the size of recent down-closes. Now ask the question the folklore skips: what kind of market produces that?

A strong uptrend. When a pair is trending hard it closes up more often than down, and the up-closes are bigger. RSI does not merely visit 70 in those conditions — it moves in and unpacks. Analysts call this an **embedded** reading: RSI holding above 70 (or below 30) for bar after bar. An embedded reading is not a reversal warning. It is the market saying, in the plainest language an indicator can manage, that the trend is powerful and one-sided.



RSI crosses 70 around candle 20 and barely leaves the zone again. Each 'SELL?' marks a point where the overbought rule said short. Every one of them was an early entry into a losing habit — the reading stayed high because the trend was strong.

The trader who shorts every touch of 70 is systematically fading strength. In a quiet range they will feel clever. Then a real trend arrives, RSI pins above 70 for a fortnight, and they experience the special pain of being repeatedly and confidently wrong in the same direction.

"Overbought" was always a strange word. It smuggles in a conclusion — that too much buying has happened and must be corrected — that the maths does not support. RSI at 74 is a thermometer reading. Deciding the patient must therefore cool down imminently is your assumption, not the thermometer's.

KEY POINT

RSI above 70 is the signature of strength first. It only becomes a reason to sell when something else — the regime and the structure — says so.

The mirror image costs just as much

Oversold buying in a downtrend is the same mistake upside down, and it usually hurts more, because falling markets tend to move faster than rising ones.



RSI dropped below 30 early in this decline and stayed there. The illustrative long at the first bounce, bought because RSI was 'oversold', was stopped out within a dozen candles — and the reading was still 'oversold' 190 pips later. A deep RSI reading in a downtrend describes the trend; it does not end it.

Notice where that losing trade went wrong. Not in the stop placement and not in the size: the stop did its job and capped the loss at one R. The error was the premise. The trader read a description of strong selling as a prediction that selling would stop.

Where the folklore does hold

We promised honest, not one-eyed. Overbought and oversold logic is not useless — it is *conditional*, and the condition is the market regime.

In a genuine range — price oscillating between clear support and resistance with no trend — mean reversion is the dominant behaviour. Each leg runs into the opposite boundary and turns. RSI extremes then tend to coincide with the edges of the range, and fading them towards the middle or the other side is a coherent idea worth testing.



A clean sideways market. RSI reaches the low 70s near each test of resistance and the mid-20s near support. The illustrative short at the third test of resistance has its stop beyond the range and its target near the far side. Here, and essentially only here, the textbook reading works as advertised.

Look closely at that trade. The reason to sell was **the level** — a ceiling that had already turned price twice. RSI near 70 added a second, independent piece of evidence: the push into the ceiling was stretched. Take away the level and RSI 72 on its own would have told you nothing.

Ranges end — and the last fade loses

Ranges do not last forever, and they usually end with a breakout that RSI reads as maximally overbought (or oversold) at precisely the wrong moment. The range trader's nightmare arrives on schedule: the market pushes through the ceiling, RSI prints 72, and the habit says "fade it".



The range resolves upwards. RSI pushes above 70 as price leaves the box and the illustrative fade, taken because RSI looked stretched, is stopped out. Every range strategy must accept that the final fade before a breakout loses — which is why the stop sits beyond structure and the size is fixed in advance.

Two honest lessons sit in that chart. First, any range-fading rule needs a stop beyond the range and an acceptance that some fades will lose — that is a cost of doing business, not a failure. Second, mid-range RSI readings are noise. RSI at 65 while price floats in the middle of a range tells you nothing worth risking money on. Extremes matter at the edges, where structure gives them something to lean on.

COMMON MISTAKE

"regime denial" — fading a breakout because the range has paid for three weeks. The market does not consult your comfort before changing character. Lesson 3 gives you a checklist that overrules your preferences.

Why the myth is so sticky

If fading extremes loses so reliably in trends, why does everyone keep doing it? Because fading *feels* intelligent. Buying a market that is already up smells like arriving late; selling it feels like seeing through the crowd. Calling a top is ego food. Trend-following, by contrast, feels like queueing.

Loss aversion makes it worse. A fade that works pays quickly, which is intoxicating. A fade that fails loses slowly and invites averaging in — "it's even more overbought now" — which is how a small wrong idea becomes a large wrong position.

The replacement rule

Here is the rule this course uses instead, and it inverts the folklore:

1. **In a trend, treat RSI extremes as evidence of strength.** RSI above 70 in an uptrend is a reason to respect the trend and look for pullback entries in its direction, not tops.
2. **In a confirmed range, an extreme at the boundary is a candidate fade.** Only at the boundary, only with structure agreeing, and only with a stop beyond the range.
3. **Anywhere, an extreme is a reason not to chase.** If RSI has just spiked to 85 on a vertical candle, your entry would sit at the far end of a stretched move, your stop would be a long way off, and any ordinary pullback would hurt. Do not fade it, but do not chase it either.

Same number, opposite meanings — and the difference is entirely context. The indicator cannot know the context. You can.

A thirty-second test before any fade

Whenever you feel the pull to sell a high reading or buy a low one, run three questions before you touch the order ticket:

1. **Is there a range?** Can you point to at least two clean touches of both a ceiling and a floor, with swings overlapping between them? If you cannot, there is no range — there is a trend or a mess, and neither is a place to fade.
2. **Is price at the boundary?** Not near it, not "heading towards" it — at it. A fade from the middle of the box has no structural reason to work and nowhere sensible for a stop.
3. **Where is the stop, and does the trade still pay?** The stop belongs beyond the boundary, not at an arbitrary distance. Measure from entry to that stop, then to the far side of the range. If the reward is less than twice the risk, the trade fails on arithmetic before RSI enters the conversation.

Notice that RSI only appears after the third question. That is deliberate. In a range the reading is a supporting witness, not the prosecution's whole case. Most of the time this test will tell you to do nothing, which is precisely what it is for.

Going deeper

Why extremes cluster in trends. With Wilder's 14-period smoothing, RSI only reaches 70 when RS exceeds 2.33. A trend that closes up on two candles out of three, with up-closes about as large as down-closes, already gets you there. So trending markets *mechanically* generate extremes; they are the base case, not the exception. Fading every extreme means fading the base case.

Extremes as a stretch measure. There is a softer, legitimate use of a high reading inside a trend: as a measure of how extended the latest leg is. If your pullback strategy needs room to a target, a reading of 85 at the moment you would enter tells you the leg is already mature and the next pullback is likely to be deeper

than average. That is useful for *management* — waiting for the pullback, setting realistic targets — not for counter-trend entries.

Some extremes do mark tops. Sometimes RSI hits 78 and the market reverses that hour. The point is not that fading always fails; it is that "70 means sell" contains no edge by itself, because it fires constantly in exactly the conditions where it is most wrong. Whatever edge exists lives in the filter — regime, level, structure — not in the number. Lessons 3 and 7 build those filters.

Hypothetical expectancy check. Suppose, purely for illustration, a fade-every-extreme rule wins 55% of trades in ranges at +1R, but in trends the same rule wins 35% at +1R and loses 1R otherwise. If a third of your sample is trending, the blended result is roughly (2/3 × 0.10) + (1/3 × −0.30) ≈ −0.03R per trade. A small regime filter that removed the trend trades would turn that into +0.10R. The numbers are invented; the shape of the argument is not.

THE RULES

- Never sell solely because RSI is above 70, or buy solely because it is below 30.
- In a diagnosed trend, extremes confirm the trend; look for entries in its direction.
- Fade an extreme only at the boundary of a confirmed range, with the stop beyond the range.
- Ignore RSI extremes that form in the middle of a range or in the middle of nowhere.

Summary

- RSI above 70 means up-closes have dominated — the definition of a strong uptrend, not a top.
- Embedded readings (RSI holding beyond 70 or 30) are a trend signature; fading them is fading strength.
- In a genuine range, extremes at the boundaries can support a fade, with a stop beyond the range.
- Ranges end with breakouts that look maximally "overbought"; the last fade loses and the stop must absorb it.
- Replace the myth with context: strength in trends, boundary fades in ranges, no chasing anywhere.

CHECK YOURSELF · ANSWERS AT THE BACK

1. EUR/USD has made three higher highs on the H4 and RSI has been between 72 and 88 for 40 candles. What does the RSI reading most likely describe?

   A. A market about to reverse

   B. A strong, one-sided uptrend

   C. A range about to break down

   D. A bearish divergence

2. In which situation is fading an RSI extreme a coherent idea to test?

   A. RSI at 75 in the middle of a strong uptrend

   B. RSI at 28 in a downtrend making lower lows

   C. RSI at 73 as price tests the ceiling of a well-defined range

   D. RSI at 65 in the middle of a range

3. A range has paid you three times at its ceiling. Price now closes above the ceiling with RSI at 72. Which response matches this lesson?

   A. Sell, because RSI is overbought and the range has worked

   B. Add to the short with a wider stop

   C. Treat it as a possible regime change; if you do fade, your stop beyond structure must be honoured

   D. Buy immediately because breakouts always continue

4. RSI spikes to 86 on a single vertical candle in an uptrend. What is the grown-up reading?

   A. Sell immediately

   B. Buy immediately before it goes higher

   C. Don't fade it, but don't chase it — wait for a pullback

   D. Switch to a 21-period RSI

5. In the 'Buying oversold in a downtrend' chart, what was the real error in the losing trade?

   A. The stop was too tight

   B. The position was too large

   C. The premise: it treated a description of strong selling as a prediction that selling would stop

   D. The target was too far away

RSI Regimes — The 40–80 and 20–60 Ranges.

MODULE 1 — READING RSI PROPERLY · LESSON 3

Diagnose whether a market is trending up, trending down or ranging from structure and RSI's own behaviour, and read every RSI value in the light of that regime.

Lesson 2 tore down the overbought/oversold folklore. This lesson builds the replacement: a working model of how RSI behaves in the two regimes that matter — trends and ranges. Learn it and the indicator stops being two arbitrary dotted lines and becomes a **regime gauge**, which is arguably its most underrated job.

The core observation is simple, and once you have seen it you cannot unsee it: RSI does not use its 0–100 scale evenly. In a trend, its working range *shifts*.

The bull range: 40 to 80

In a healthy uptrend, RSI typically oscillates between roughly 40 and 80. Rallies push it into the 70s or low 80s. Pullbacks drain it back to the 40s or low 50s, and then it turns up again. The 30 line is rarely touched, because even the sell-offs in an uptrend lack the sustained down-closes needed to drag the ratio that low.



Each pullback in this uptrend bottoms with RSI in the mid-40s to low 50s, and each rally pushes it into the 70s or 80s. The textbook 'oversold' line at 30 is never reached. In an uptrend, the 40–50 area is where momentum resets — a far more useful landmark than 30.

Traders sometimes call the 40–50 area in an uptrend the **bull support zone** for RSI: it is where pullbacks tend to run out of downside momentum. This idea was explored in depth by Andrew Cardwell and later popularised by Constance Brown, and it is one of the few pieces of indicator lore that survives contact with real charts. Do not take it on trust — mark RSI's swing highs and lows through any sustained trend on a major pair and see where they cluster.

KEY POINT

in an uptrend, "RSI back to 40–50" means the pullback is mature. It is a place to start looking for longs, not a sign of weakness.

The bear range: 20 to 60

In a downtrend, mirror everything. RSI lives roughly between 20 and 60. Bounces stall in the 50s or low 60s; declines press into the 20s. The 70 line might as well not be on the chart.



The mirror image. Every bounce in this downtrend stalls with RSI around 50 — never near 70 — and every decline pushes it into the 20s. A bounce that lifts RSI to 55 in a downtrend is ordinary; one that lifts it to 70 would be news.

In the bear range, the 50–60 area is the **bear resistance zone**: where rallies tend to run out of upside momentum. A bounce that reaches it and rolls over is the downtrend doing what downtrends do.

Ranges: the full span

In a genuine sideways market, RSI uses more of its scale: it swings from the 30s to the 70s, with the extremes roughly matching the edges of the range. You saw this in Lesson 2. It is the one regime where the platform's

default 70/30 lines are roughly the right landmarks — and even there, only at the boundaries.

So you have three signatures:

REGIME	TYPICAL RSI WORKING RANGE	WHERE PULLBACKS/BOUNCES END
Uptrend	about 40–80	40–50 (bull support zone)
Downtrend	about 20–60	50–60 (bear resistance zone)
Range	about 30–70	extremes near the range edges

Treat these as zones, not laws. A strong trend may run 45–85; a gentle one 40–70. What matters is the *shift*: which half of the scale RSI is living in.

When the regime breaks

The practical payoff is not just recognising pullbacks. It is noticing when something has changed. In an uptrend, RSI dropping through 40 and reaching 30 is a move that was structurally "impossible" in the old regime. It is the momentum equivalent of a lower low.



For sixty candles RSI never dips below the mid-40s. Then one sell-off breaks the last higher low and drives RSI to 29. The bounce that follows only lifts RSI to the mid-40s and prints a lower high. Price structure and RSI regime have both changed character at the same time.

That does not automatically make a downtrend. A single dip to 30 can be a violent pullback in a trend that recovers. But it is a fact that the old regime did not produce, and it should sharpen your attention. If the next bounce stalls with RSI in the 50s — the bear resistance zone — and price prints a lower high, structure and momentum are now telling the same new story.

COMMON MISTAKE

treating an RSI regime shift as a sell signal on its own. It is a change in the background, not a trigger. You still need a level and a confirmation (Lessons 7 and 8).

Diagnosing the regime in thirty seconds

Everything above is useless if you cannot tell which regime you are in, so make the diagnosis explicit. Three checks, ten seconds each, in this order:

1. **Structure.** Is price printing higher highs and higher lows, lower highs and lower lows, or overlapping swings between horizontal levels? Structure is the primary evidence. Price first, indicator second.
2. **RSI's own recent range.** Over the last 40–60 candles, where have RSI's swing lows and highs clustered? 40–80 suggests up; 20–60 suggests down; full-span turns at both ends suggests a range. The indicator diagnoses itself.
3. **The 50 line.** Momentum that consistently holds above 50 leans bullish; consistently below leans bearish; endless whipsawing across 50 is the signature of chop.

If all three agree, you have a regime. If they disagree — structure says up but RSI has started living in 30–60 — you have a market in transition, and the honest answer is usually "no new trades until it settles".



Practice drill. Price has just made a new high and RSI reads 82. A colleague wants to short because the market is 'overbought'. Diagnose the regime first, then decide: trade or no trade?

THE REVEAL



THE ANSWER

No trade. Structure shows higher highs and higher lows, RSI has lived in its 45–90 bull range for sixty candles, and it has held above 50 throughout. An 82 reading here is the trend's signature, not a top. The market pulled back to the bull support zone and then made another higher high. The right question was not 'should I short?' but 'where will the next pullback end?'

Regime first, reading second

The discipline is doing the diagnosis *before* consulting the signal. Most RSI disasters are not caused by the indicator misfiring. They are caused by a range tactic being deployed in a trend, or a trend tactic in a range. Same panel, same settings, same trader — wrong map.

A worked diagnosis

Here is the thirty-second routine applied to an illustrative chart, so you can see what the written output looks like. EUR/USD, H4, last 60 candles.

Structure. Swing highs at 1.0890, 1.0935 and 1.0982; swing lows at 1.0841, 1.0878 and 1.0921. Each high is higher than the last, each low is higher than the last. Verdict: uptrend.

RSI's own range. RSI swing lows at the three pullbacks read 47, 44 and 51. RSI swing highs read 78, 74 and 81. The working range is roughly 44–81. Verdict: bull regime.

The 50 line. RSI has closed below 50 on only four of the last 60 candles, each time briefly. Verdict: bullish.

The sentence: "EUR/USD H4 is in an uptrend; I am interested only in longs, ideally from pullbacks that reset RSI to the 40–50 area."

That sentence does an enormous amount of work. It rules out every short. It rules out buying stretched rallies with RSI at 80. It tells you what a good opportunity will look like before it arrives, so that when RSI next drops to 46 at a higher low you recognise it rather than fear it. And it gives you a clear condition for changing your mind: a lower low in price, or an RSI swing low below about 38, would send you back to the checklist.

Run the routine at the start of each session and write the sentence down. It takes less time than reading one news headline.

There is a psychological trap worth naming here: **regime denial**. Traders who have been profitably fading a range for three weeks do not want the range to end, so they treat the breakout as just another extreme. Write your regime criteria down, check them at the start of every session, and let the checklist overrule your preferences.

Going deeper

Why the range shifts. It falls straight out of the arithmetic. In an uptrend, pullbacks are typically shorter and shallower than rallies. Wilder's smoothed average gain stays elevated through a brief pullback, so RS rarely falls below about 0.67 — which is RSI 40. Only a pullback that is both deep and sustained can push RS below 0.43 (RSI 30). That is why RSI 30 in an uptrend is evidence the character of the down-moves has changed.

Range "failures" as information. Cardwell's framing is useful: in an uptrend, the important event is not RSI reaching 70 but RSI *failing* to fall below 40. In a downtrend, it is RSI failing to rise above 60. When a regime's floor or ceiling breaks, you have the momentum equivalent of a broken swing. Combined with a broken swing in price, it is a strong regime-change case.

Timeframe matters. The regime on the H1 can be a downtrend while the daily is a clean uptrend — the H1 "downtrend" is simply the daily pullback. Lesson 9 assigns the regime job to the higher timeframe so these readings stop competing.

Thresholds are fuzzy by design. A disciplined trader might write "uptrend if the last three RSI swing lows were all above 38 and price structure shows HH/HL". That is testable. "RSI looks bullish" is not. Write your version down; Lesson 10 includes a template.

THE RULES

- Diagnose the regime before reading any RSI value: structure first, RSI range second, 50 line third.
- In an uptrend, RSI pullbacks to 40–50 mark mature pullbacks, not weakness.
- In a downtrend, RSI bounces to 50–60 mark mature bounces, not strength.
- If structure and RSI regime disagree, treat the market as in transition and stand aside.

Summary

- RSI's working range shifts with the trend: about 40–80 in uptrends, 20–60 in downtrends, 30–70 in ranges.
- The 40–50 bull support zone and 50–60 bear resistance zone mark where pullbacks typically exhaust.
- An uptrend RSI reaching 30, or a downtrend RSI reaching 70, is the momentum version of a broken swing.
- Diagnose regime with structure, RSI's own range and the 50 line — before reading any signal.
- Disagreement between the checks means transition: the default answer is no trade.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Price is printing higher highs and higher lows. The last four RSI pullback lows were 46, 51, 44 and 48. What regime does this describe?

   A. Downtrend

   B. Range

   C. Uptrend with RSI in its bull range

   D. Transition

2. In a downtrend, where does RSI typically peak on a normal bounce?

   A. Around 70–80

   B. Around 50–60

   C. Around 30

   D. It always peaks at exactly 50

3. After 60 candles in which RSI never fell below 45, a sell-off breaks the last higher low and RSI reaches 29. What is the best interpretation?

   A. A strong buy: RSI is oversold

   B. A meaningful change of character that sharpens attention, but not yet a trade

   C. Meaningless noise

   D. Proof the trend has reversed — sell immediately

4. Structure shows higher highs and higher lows, but RSI's last three swings were 32–58. What does this lesson suggest?

   A. Strong uptrend: buy

   B. Strong downtrend: sell

   C. The checks disagree — market in transition, stand aside

   D. Switch to a 7-period RSI

5. In the practice drill, why was shorting at RSI 82 the wrong decision?

   A. Because RSI was not above 90

   B. Because the regime was a clear uptrend, so 82 was the trend's signature, not a top

   C. Because shorts are never allowed

   D. Because the timeframe was H4

6. Which order of checks does this lesson prescribe for regime diagnosis?

   A. 50 line, RSI range, structure

   B. RSI value first, then structure

C. Structure, RSI's recent range, 50 line

D. Only the 70/30 lines

Regular Divergence — Momentum Fading at the Extremes.

MODULE 2 — DIVERGENCE, REGULAR AND HIDDEN · LESSON 4

Identify and draw regular bullish and bearish divergence correctly between genuine swings, explain why it forms, and treat it as an early warning rather than an entry.

This is the headline act, and the reason most serious traders keep RSI on their charts long after abandoning the 70/30 folklore. Regular divergence is the moment when price and momentum stop telling the same story: price pushes to a new extreme, but the force behind the push is weaker than last time.

Used well, it is one of the most informative things an oscillator can show you. Used badly — and it is usually used badly — it is a machine for shorting strong uptrends with a clear conscience. This lesson teaches you to see it, draw it honestly, and respect its limits.

The two patterns

Regular bearish divergence: price makes a **higher high**, but RSI makes a **lower high**.

Regular bullish divergence: price makes a **lower low**, but RSI makes a **higher low**.

In both cases price has extended the move, but the momentum behind the extension has faded. The engine is still turning; it is turning with less force than before.



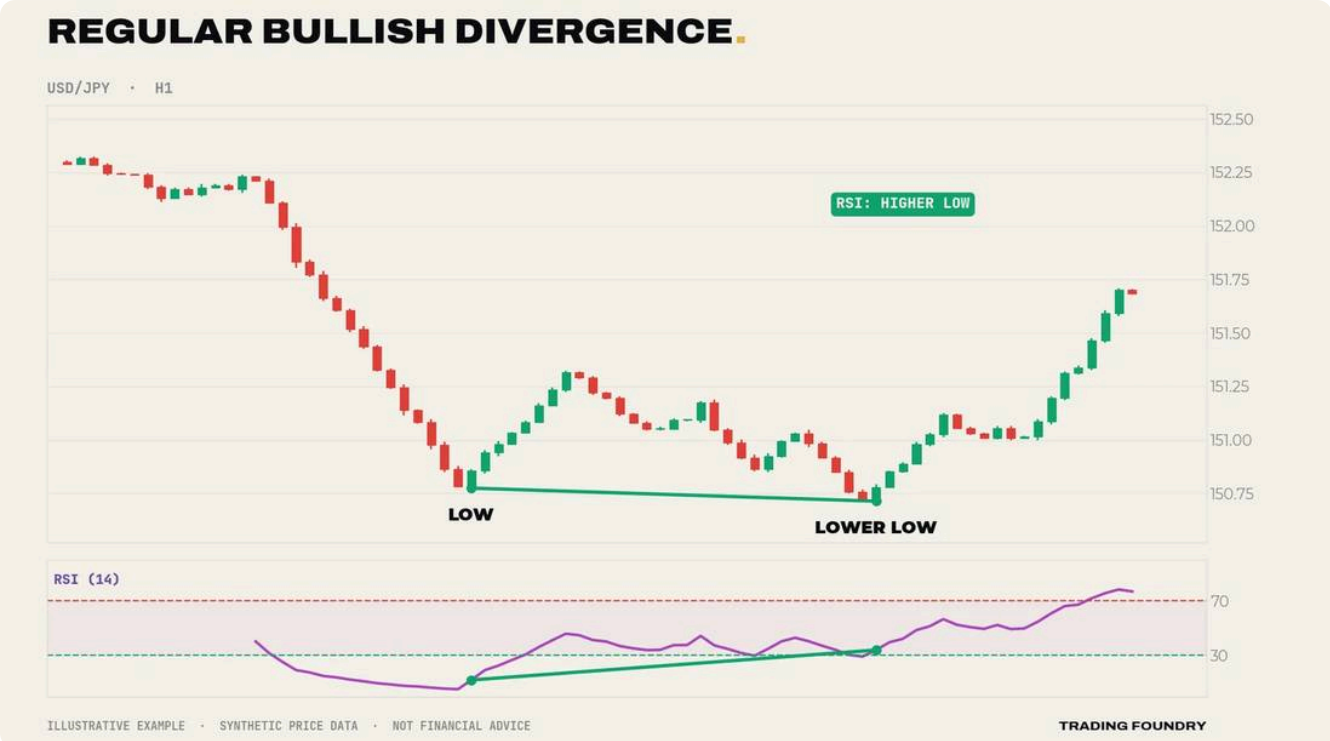
Price pushes about 15 pips above its earlier high, but RSI peaks well below its first reading — roughly 89 against 66. The second push was achieved with far less one-sided buying. That gap between price and momentum is the divergence.

Why divergence happens

Remember what RSI measures: the size of recent up-closes relative to recent down-closes. Late in a move, the final push to a new extreme is often *ground out* — smaller candles, more overlap, hesitant closes — compared with the muscular impulse that built the earlier high. Price nudges over the line; the average gain does not keep up. So RSI prints a lower high even as price prints a higher one.

Divergence is not magic. It is arithmetic noticing what your eye glosses over: the new extreme was achieved with less conviction.

The bullish version is identical logic upside down. A downtrend stabs to a lower low, but the selling behind that stab is weaker than at the previous low, so RSI holds a higher low. Sellers are still winning — but on fumes.



The first low is made by a fast, one-sided sell-off and RSI drops to about 12. The second low undercuts it by a few pips after a slow, overlapping decline, and RSI only reaches the mid-30s. New price low, much weaker selling pressure.

KEY POINT

regular divergence means the new extreme was reached with less momentum. It describes fading force — it does not say the move is over.

A worked illustration in the candles

Here is the same idea with the candles doing the talking (an illustration of technique, not a signal). GBP/USD on the H4 rallies from about 1.2600 to 1.2855 in a burst of a few large, clean candles. It pauses and pulls back, then pushes to around 1.2874. But look at *how* it gets there: the second push takes many more candles, with smaller bodies and plenty of overlap.



The first high is built by a handful of large up-candles, and RSI peaks in the mid-90s. The second high is reached through overlapping, two-way candles, and RSI manages only the high 60s. The candles and the indicator are telling the same story: less conviction at the new high.

RSI peaked in the mid-90s on the first high and only in the high 60s on the second. That is a complete regular bearish divergence: a marginal new price high, a decisively lower momentum high, and fading conviction visible in both the candles and the maths.

What does a disciplined trader do with it? **Nothing, yet.** They mark it. They stop looking for new longs. They wait for structure to speak — which is the subject of Lessons 7 and 8.

Warning, not signal

This is the part most RSI content rushes past, and the part that decides whether divergence makes or costs you money. Regular divergence is an **early warning**, not an entry.

"Early" is doing heavy lifting in that sentence. Momentum can fade for a long time before price turns. Strong trends routinely print one divergence after another, each looking like the top. And sometimes momentum resets through *time*: price goes sideways for twenty candles, RSI drifts back to the middle, and the trend simply resumes.



A textbook bearish divergence forms between two genuine swing highs. Price dips, holds above the previous swing low, and the uptrend carries on to new highs. Nothing was wrong with the divergence — it was a warning about momentum, and the warning was simply not followed by a change in structure.

So calibrate your expectations now. Divergence marks *conditions*, not *timing*. It says: "the move is ageing; stop adding in this direction; start paying attention to the other side." It does not say "reverse here".

COMMON MISTAKE

shorting the first bearish divergence in a strong uptrend. That is the Lesson 2 mistake — fading strength — with extra homework.

Drawing it properly

Divergence sounds simple and is easy to draw wrong. These craft rules protect you from the most common self-deceptions.

Compare swings, not wiggles. A divergence connects two meaningful swing highs (or lows) in price with the RSI values at those same candles. A useful mechanical test: each point should be the highest high (or lowest low) of at least three candles either side. If you cannot identify the two price swings on a naked chart first, the divergence does not exist.

Match the peaks in time. The RSI value you use must be the one produced by *that* price swing, not a convenient peak from somewhere nearby. Draw a vertical line if you have to. Cherry-picking oscillator points to manufacture a slope is the most popular form of divergence fraud, and the only victim is you.

Use adjacent swings. Compare the latest swing with the one immediately before it. Skipping over an intermediate swing to find a pair that diverges is another way of seeing what you want to see.

Prefer divergence at extremes. A bearish divergence whose first RSI peak sat above 70 carries more information than one where both peaks idled around 55. Fading momentum at a genuine extreme is the pattern with pedigree; mid-range wobbles are common and mostly meaningless.

Be consistent about closes and wicks. RSI is built from closes, so momentum peaks align with closing prices. Whether you mark price swings on wicks or closes matters less than doing it the same way every time.

A drawing routine you can repeat

Here is the routine, in order, that turns those craft rules into something mechanical. Use it every time, especially when you are excited about what you think you see.

1. **Cover the RSI panel.** On the naked chart, mark the last two swing highs (for bearish) or swing lows (for bullish) using your fractal rule — the highest high or lowest low of at least three candles either side.
2. **Compare the prices.** For regular bearish divergence the second high must be higher than the first; for regular bullish, the second low must be lower. If price did not make a new extreme, stop: whatever you see on RSI, it is not regular divergence.
3. **Uncover RSI and read it at those exact candles.** Not at a nearby peak, not at the highest point in the area — at the candles you marked.
4. **Measure the gap.** Second reading lower than the first (bearish) or higher (bullish) by at least 4–5 points? If not, there is no meaningful divergence.
5. **Note where the first reading was.** Above 70 (bearish) or below 30 (bullish) adds weight. Both readings parked in the 50s adds very little.
6. **Write it down** — pair, timeframe, the two prices, the two RSI values. If you cannot fill in all six numbers, you have a feeling, not a divergence.

Run this on the training charts in this lesson and you will find every one passes. Run it on your own charts and you will find that a surprising share of the divergences you thought you saw do not. That is not a failure of the routine; it is the routine doing its job. The single most common drawing error in practice is skipping step 1 — looking at RSI first, finding a slope, and then hunting for price swings to match it.

Going deeper

Magnitude matters, within limits. A divergence where RSI drops from 85 to 62 says more than one where it drops from 72 to 70. A two-point difference is within the noise of different platforms' calculations (Lesson 1's seed problem). As a working rule, ignore RSI differences of less than about 4–5 points.

Distance between swings. Divergences between swings 10–40 candles apart on your chosen timeframe tend to be meaningful. Swings three candles apart are one move; swings 120 candles apart belong to different market phases and the comparison loses meaning.

The scale compresses at extremes. Because the RSI formula squashes high RS values (Lesson 1), a drop from 90 to 80 represents a larger fall in the underlying gain/loss ratio than a drop from 60 to 50. Divergence

from very high readings is therefore more pronounced in the underlying maths than it looks.

Divergence and regime. In a strong uptrend whose RSI lives at 45–90, a bearish divergence from 88 to 74 leaves RSI still in the bull range. That is momentum *cooling*, not momentum *breaking*. Compare it with a divergence whose second peak fails below 60 — beneath the bull range — which is a far more serious statement. Lesson 3's regime ranges give you the context to grade it.

THE RULES

- Regular bearish divergence: price higher high, RSI lower high. Regular bullish: price lower low, RSI higher low.
- Draw divergence only between two adjacent, genuine swing points, with RSI read at those same candles.
- Ignore RSI differences smaller than about 4–5 points.
- Regular divergence is a warning: stop adding in the trend's direction, but never enter on the divergence alone.

Summary

- Regular divergence shows a new price extreme reached with weaker momentum.
- It forms because late pushes are often ground out with overlapping candles, so average gains (or losses) shrink.
- Draw it between adjacent, genuine swings, with RSI read at the same candles, and prefer divergences that start from an extreme.
- It is an early warning of fading momentum, not a reversal signal; trends often continue or go sideways.
- The action it justifies on its own is limited: stop adding, mark it, and wait for structure.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Price makes a lower low while RSI makes a higher low. What is this?
   A. Regular bearish divergence
   B. Regular bullish divergence
   C. Hidden bullish divergence
   D. Hidden bearish divergence
2. Why does regular bearish divergence typically form?
   A. Because large traders are secretly selling
   B. Because the final push to the high is often ground out with smaller, overlapping candles, so average gains shrink
   C. Because RSI is a leading indicator
   D. Because price always reverses after 14 candles
3. A trader connects the latest price high to an RSI peak from three swings earlier because it makes a nicer downward slope. What is wrong?
   A. Nothing — any RSI peak is valid
   B. The RSI value must come from the same candle as the price swing, and adjacent swings should be compared
   C. They should have used a 9-period RSI
   D. They should have used wicks rather than closes
4. RSI reads 71 at the first swing high and 69 at the second, higher, swing high. How should you treat it?
   A. Strong bearish divergence: sell
   B. Too small to count — within the noise
   C. Hidden divergence
   D. Bullish divergence
5. You spot a clean regular bearish divergence in a strong uptrend. What does this lesson say you should do on that information alone?
   A. Sell at market immediately
   B. Double your long position
   C. Stop adding longs, mark it, and wait for structure to confirm anything
   D. Ignore it completely
6. In the 'warning that came to nothing' chart, why did the divergence not lead to a reversal?
   A. The divergence was drawn incorrectly

B. Momentum reset and structure never broke — the warning was not followed by a change in structure

C. RSI is broken on gold

D. The timeframe was too low

Hidden Divergence — The Trend-Continuation Clue.

MODULE 2 — DIVERGENCE, REGULAR AND HIDDEN · LESSON 5

Identify hidden bullish and bearish divergence inside an established trend, explain why it signals continuation, and know exactly where the idea is invalidated.

If regular divergence is the famous sibling, hidden divergence is the quietly competent one who gets more done. It points *with* the trend rather than against it, so it co-operates with the market's default behaviour instead of fighting it. For most intermediate traders it is the more forgiving pattern to trade — and it is the one that gets confused with regular divergence more than any other.

This lesson gives you the definitions, the mechanics, and the two conditions without which hidden divergence is just noise in a costume.

The pattern, flipped

Hidden bullish divergence: price makes a **higher low**, but RSI makes a **lower low**.

Hidden bearish divergence: price makes a **lower high**, but RSI makes a **higher high**.

Read those twice, because they are regular divergence's mirror image. A crude but reliable memory aid:

- **Regular** divergence disagrees at the *extremes* of the move — new price extreme, weaker momentum — and warns of a possible *reversal*.
- **Hidden** divergence disagrees at the *pullbacks* — protected price level, deeper momentum reset — and suggests *continuation*.

Another way to remember it: for bullish setups, regular divergence is read on lows that go *down* in price; hidden divergence is read on lows that go *up* in price. In both bullish cases you compare **lows**; in both bearish cases you compare **highs**.



The first pullback is slow and gentle; RSI only dips to the high 50s. The second is fast — a few heavy candles — and RSI drops to about 45, a lower low. Yet price holds well above the first low. Structure intact, momentum fully reset: the trend resumes.

Why it means continuation

Walk through the bullish case slowly. An uptrend pulls back. The pullback holds above the previous swing low — a higher low, so the trend is technically healthy. But this pullback was *sharp*: several heavy sell candles compressed into a short time. RSI, which measures the size of recent down-closes, reads that sharpness as a deep momentum flush and prints a lower low than it did at the previous, gentler pullback.

So price says "the trend is fine — buyers defended a higher floor", while RSI says "that dip was violent".

Why is that bullish? Because the market absorbed an outsized dose of selling and *still* could not break structure. Momentum has been fully reset — the spring recompressed — without the trend conceding anything. When the sellers' best recent effort produces only a higher low, the path of least resistance remains up.

The bearish mirror works the same way. A downtrend bounces; the bounce is punchy enough to push RSI to a higher high than the previous rally managed, but price stalls at a lower high. Buyers threw real momentum at it and still could not reclaim structure.



In this downtrend the second bounce is sharper than the first, so RSI climbs higher — into the high 50s — even though price stalls well below the previous rally high. Buyers spent real momentum and could not reclaim structure. The downtrend continues.

KEY POINT

hidden divergence is a momentum reset inside an intact trend. It nominates a pullback as finished; it does not create a trend where there isn't one.

Why with-trend divergence is the friendlier tool

Regular divergence asks you to bet that a trend is ending — an event that is relatively rare and hard to time. Hidden divergence asks you to bet that a trend will continue — the more ordinary outcome — and merely helps you time the entry. One fights the base rate; the other rides it.

There is a second advantage, and in practice it matters more: **crisp invalidation**. The whole idea is "the pullback ended at a protected higher low". If price breaks that low, the pattern is dead and the trend itself is in question. Your stop has an obvious home just beyond it. With regular divergence, invalidation is fuzzier, because trends can print a new extreme and still reverse shortly after.

A complete example — and its failure

Here is the pattern taken as a trade, with an illustrative risk of 1% of the account (technique, not a signal). EUR/USD H1 is in a diagnosed uptrend. The second pullback is sharp, holds a higher low, and RSI prints a lower low. The pullback ends with a bullish engulfing candle — the trigger (Lesson 8 covers triggers in detail).



Entry on the close of the engulfing candle, stop a few pips beneath the higher low, target at the prior swing high: 27 pips of risk for 59 pips of reward, about 2.2R. At 1% risk the position is sized so that 27 pips equals 1% of the account. The trend resumed and the target was reached.

Now the version every honest course must show. Same trend, same pattern, same trigger, same stop logic. This time the higher low does not hold.



The trigger fires, but buyers do not follow through. Price slips back through the higher low and the stop is hit for a 1R loss. Nothing was done wrong: the invalidation level was exactly where the idea died. Afterwards RSI breaks below 30 — the uptrend's regime has broken too.

Study that losing trade, because it is what a *correct* loss looks like. The stop sat where the idea became false, the loss was capped at the planned 1R, and the market then showed — through a break of structure and an RSI regime break — that the trend had genuinely changed. You cannot avoid trades like this. You can make sure each one costs exactly what you planned.

COMMON MISTAKE

moving the stop below the next, lower swing "to give it room". Once the higher low breaks, the hidden divergence no longer exists. Extra room only buys a larger loss on a dead idea.

The craft rules

Everything from Lesson 4 carries over — real swings, adjacent swings, RSI read at the same candles, no cherry-picking — plus three rules specific to hidden divergence:

1. **The trend must exist.** Hidden divergence is a continuation pattern; without an established trend there is nothing to continue. Run Lesson 3's diagnosis first: higher highs and higher lows, RSI living in its bull range. Hidden divergence "found" inside a choppy range is noise.
2. **Where RSI resets matters.** The best hidden bullish divergences see RSI dip into the 40–50 bull support zone — a full reset within a healthy regime. If RSI collapses to 25 in your "uptrend", question the uptrend, not just the entry.
3. **Where in the trend matters.** A hidden divergence at the second or third pullback of a young trend is a different proposition from one at the eighth pullback of an old, extended move. The pattern does not know how old the trend is. You should.

Hidden divergence or just a pullback?

Most pullbacks in a trend are not hidden divergence, and that is fine. The label only applies when all four of these are true:

- **Two pullbacks to compare.** You need an earlier swing low (for bullish) and a later one, both genuine fractal swings in the same trend.
- **Price protected the level.** The later swing low is clearly above the earlier one. "About the same" is not a higher low; a double bottom is a different pattern with a different story.
- **RSI went deeper.** The RSI value at the later low is at least 4–5 points below the RSI value at the earlier low.
- **The trend is real.** Lesson 3's diagnosis said uptrend before you looked for the pattern, not after.

A short worked illustration (technique, not a signal): GBP/USD H4 in a diagnosed uptrend. The first pullback drifts over nine candles to 1.2710, with RSI bottoming at 52. The rally reaches 1.2830. The second pullback drops in four heavy candles to 1.2745 — 35 pips above the first low — and RSI bottoms at 43. All four conditions pass: two genuine swing lows, a protected higher low, RSI 9 points deeper, a trend already diagnosed. That is a candidate, waiting only for a level check and a trigger.

Change one fact — say the second pullback had dropped to 1.2712, two pips above the first — and the honest description becomes "a test of the prior low". It may still bounce, but it is no longer a clearly protected higher low, and the crisp invalidation that makes hidden divergence attractive has gone.

Going deeper

Hidden divergence and pullback speed. The mechanism depends on the second pullback being *faster* than the first. A slow, deep pullback that holds a higher low can still leave RSI higher than at the first low, because the down-closes are small and spread out. That is not hidden divergence — but it is not necessarily bad either. It is just a pullback. Do not force the label.

The overlap with regular divergence on a lower timeframe. A sharp pullback in a higher-timeframe uptrend is a small downtrend on the lower timeframe. As it exhausts into support, that lower timeframe often prints *regular* bullish divergence. So a single event can appear as hidden divergence on the H4 and regular divergence on the M15. Lesson 9 uses this deliberately.

Distance from the trend's mean. Hidden divergence where the higher low also sits near a rising 50 EMA or a prior breakout level has a second, independent reason to hold. Lesson 7 makes location a hard requirement.

Hypothetical expectancy. Suppose — purely for illustration — that with-trend hidden divergence setups win 45% of the time at an average of +2.2R, and lose 1R otherwise. Expectancy would be $0.45 \times 2.2 - 0.55 \times 1 \approx +0.44$R per trade. The point is not the invented numbers; it is that a pattern can lose more often than it wins and still be worth trading if the geometry is right. Lesson 9 and your own testing do the real work.

THE RULES

- Hidden bullish: price higher low, RSI lower low. Hidden bearish: price lower high, RSI higher high.
- Only look for hidden divergence inside a diagnosed trend, in the trend's direction.
- Prefer hidden bullish divergence where RSI resets to roughly 40–50 (or 50–60 for bearish).
- The protected swing is the invalidation: if it breaks, the setup is dead and the stop is taken without adjustment.

Summary

- Hidden divergence compares the pullbacks: higher low with lower RSI low (bullish), lower high with higher RSI high (bearish).
- It shows a full momentum reset that failed to break structure — a continuation clue.
- It trades with the base rate and has crisp invalidation at the protected swing.
- It needs an established trend; in a range it means nothing.
- Correct losses happen: when the protected swing breaks, accept the planned 1R and move on.

CHECK YOURSELF · ANSWERS AT THE BACK

1. In an uptrend, price makes a higher low while RSI makes a lower low. What is this?
   A. Regular bullish divergence
   B. Hidden bullish divergence
   C. Regular bearish divergence
   D. Hidden bearish divergence
2. What price event invalidates a hidden bullish divergence?
   A. RSI falling below 50
   B. Price breaking below the higher low that defines the pattern
   C. Price failing to reach the target within 10 candles
   D. A bearish candle after entry
3. Why does hidden bullish divergence typically appear?
   A. The second pullback was slow and shallow
   B. The second pullback was sharp, so RSI reset deeply, but price still held above the previous low
   C. Price made a new high on weaker momentum
   D. RSI was above 70 throughout
4. You find a hidden bullish divergence in a market whose swings are overlapping between two horizontal levels. What should you do?
   A. Trade it — hidden divergence always works
   B. Ignore it: hidden divergence needs a trend to continue
   C. Trade it with double size
   D. Treat it as regular divergence
5. In the losing example, what made it a 'correct' loss?
   A. The trader moved the stop lower to give it room
   B. The stop sat where the idea became false, and the loss was the planned 1R
   C. The trader closed early at breakeven
   D. The target was reached later
6. In a downtrend, which observation is hidden bearish divergence?
   A. Price lower low, RSI higher low
   B. Price higher high, RSI lower high
   C. Price lower high, RSI higher high

D. Price higher low, RSI lower low

Failed Divergence — How It Fails and How to Spot It Early.

MODULE 2 — DIVERGENCE, REGULAR AND HIDDEN · LESSON 6

Recognise the three ways divergence fails — stacking, sideways resolution and reclaimed extremes — and use clear evidence to abandon a divergence idea before it costs more than planned.

Every divergence method lives or dies on how it handles failure. Divergence fires often, it fires early, and a good share of the time nothing useful follows. That is not a defect in RSI; it is the natural behaviour of a warning system. A smoke alarm that only sounded when the house was already ablaze would be useless. One that sounds early will sometimes sound for toast.

This lesson is about the toast. You will learn the three common ways divergence fails, the evidence that tells you a divergence is failing *while it is happening*, and the discipline that keeps a failed idea from becoming an expensive one.

Failure one: stacking

Strong trends routinely print divergence after divergence. Price makes a higher high with a lower RSI high; then another higher high with a still-lower RSI high. This is called **stacked** or **serial** divergence. Each one looks like the top. Usually only the last one is.



The first bearish divergence (RSI from the low 90s to the high 70s) did not break anything: price dipped, held its higher low and made another high. A second divergence formed there, and only then did price break the last higher low. A trader who shorted the first warning with a stop above its high was stopped out before the second one appeared.

Why does stacking happen? Because a fading *rate* of advance is not the same thing as an advance that has stopped. A trend can slow down for a long time and still go up. RSI is measuring the slowing; it cannot tell you when the slowing ends in a reversal.

The defence against stacking is not a cleverer oscillator. It is refusing to act until **structure** changes. In the chart above, the first divergence never broke a swing low. The second one did. That difference is the whole of Lesson 8.

Failure two: sideways resolution

The second failure is quieter. The divergence forms, price stops trending — and then just goes sideways. Over twenty or thirty candles RSI drifts back to the middle of its range, momentum resets *through time rather than price*, and the trend simply resumes.



A valid bullish divergence: lower low in price, RSI from about 11 up to 31. But price never rallies. It chops in a 40-pip box for twenty-five candles while RSI climbs back to the high 40s, and then the downtrend continues. The divergence correctly described fading selling — and the selling simply paused.

This one is easy to misread as "the divergence worked a bit". It did not. A bullish divergence that produces a sideways box and then new lows is a failed reversal idea, and if you bought it, you are now holding a long in a resumed downtrend.

The tell-tale sign is that RSI recovers towards 50 but price does not make a higher high. Momentum is being repaired by *time passing*, not by buyers. Wilder's smoothing (Lesson 1) does this on its own.

Failure three: the extreme is reclaimed

The third failure is the most painful, because it can catch you even after you waited for confirmation. The divergence forms, structure breaks, you enter on the pullback — and then the market turns round and takes out the divergence extreme. When that happens, the divergence has been **erased**: the momentum thesis is simply false.



Everything looked right: bearish divergence (RSI 93 to 64), a break below the previous swing low, and a short on the pullback with the stop above the divergence high. Then buyers drove price through that high, RSI made a fresh peak in the 80s, and the stop was hit for 1R. The stop was exactly where the idea became false — which is what made this a small loss rather than a large one.

There is nothing to fix in that trade. Divergence plus a structure break is the best evidence this course asks for, and it still fails some of the time. The professional response is to have placed the stop where the idea dies, to take the 1R, and to move on.

KEY POINT

a divergence is dead the moment price closes beyond the divergence extreme. Not "weakened" — dead. A fresh extreme with fresh momentum is a new story.

Spotting failure while it happens

You cannot know in advance which divergences will fail. But you can watch for evidence, candle by candle, that one *is* failing. Five warning signs:

1. **No structural break.** After a bearish divergence, price pulls back but holds above the last higher low, and then turns up again. The trend's structure never cracked.
2. **RSI holds its regime.** After a bearish divergence in an uptrend, RSI's pullback stops in the 40–50 bull support zone and turns up. Momentum reset, but the bull regime survived (Lesson 3).
3. **The pullback is shallow and slow.** A reversal that matters usually moves with some urgency. A meandering, overlapping dip is more often a pause.

4. **Time passes without progress.** If twenty candles after a bullish divergence price has not made a higher high, the idea is going stale. Momentum is resetting through time.
5. **The extreme is approached again with rising RSI.** If price returns towards the divergence high and RSI is climbing with it, the divergence is about to be erased.

None of these is a precise trigger. Together, they are the difference between a trader who exits a stale idea at breakeven and one who waits for the stop out of hope.

Practice drill



Practice drill. A strong uptrend has just printed a clean regular bearish divergence: higher high in price, RSI from the low 90s down to the high 70s. There is no prior resistance level here and price has not broken any swing low. Trade or no trade?

THE REVEAL



THE ANSWER

No trade. The divergence is genuine, but it is the first warning in a strong trend, at no level, with no structural break — and RSI is still in its bull range. Price went on to a further higher high, where a second divergence formed. Only after that did price break the last higher low. Waiting would have cost nothing; shorting the first warning would have cost 1R.

The discipline of abandoning an idea

Divergence trading needs two exits written down before entry: the **stop**, which enforces invalidation, and a **staleness rule**, which ends ideas that are going nowhere. A reasonable staleness rule for intermediate traders: if the trade has not moved at least 1R in your favour within a fixed number of candles — for example 20 — and the evidence in the list above is building against you, close it at market.

That may sometimes cut a trade that would have worked. Accept it. The cost of carrying stale divergence trades, measured across a year, is almost always larger than the occasional winner you leave behind.

The failure post-mortem

Every failed divergence trade deserves five minutes of honest review, because failures are where a method's real behaviour shows itself. Use the same questions every time, so your answers can be compared across months:

1. **Which failure was it?** Stacking, sideways resolution, a reclaimed extreme — or something else? Name it.

2. **Did the setup pass every filter?** Regime, level, drawing, trigger, geometry. If any gate was skipped, the lesson is about discipline, not about divergence.
3. **Was the stop where the idea died?** If the stop was tighter than invalidation, you may have been removed from a correct idea by noise. If it was wider, you paid extra to stay wrong.
4. **Were any of the five warning signs visible before the stop?** If so, would a staleness exit have reduced the loss?
5. **Rules followed: yes or no?**

Over twenty or thirty failures, patterns appear. You may find that most of your losses come from one failure type — often stacking, in traders who are not strict about structural breaks. You may find that the warning signs were visible in half your losers and your staleness rule is too lenient. Those are findings you can act on, one rule at a time. "Divergence doesn't work" is not.

COMMON MISTAKE

re-entering the same failed divergence "because it's even more diverged now". A stacked divergence after a stop-out is a new setup and must pass every filter from scratch — including the structural break.

Going deeper

Why serial divergence is common in strong trends. In a powerful trend each pullback is short, so RSI's average loss stays small and readings stay high. As the trend matures, pullbacks lengthen a little and pushes become a little more overlapping — enough to lower each successive RSI peak without changing the trend's direction. A sequence of lower RSI highs is therefore a *normal* feature of an ageing trend, not an anomaly.

Measuring the failure rate of your own rules. In your testing (Lesson 10's capstone shows a template), record for every divergence you flag whether it was followed by a structural break within N candles. That single statistic, on your pairs and timeframes, tells you how much weight an unconfirmed divergence deserves. Many traders discover that unconfirmed divergence is close to a coin toss, while confirmed divergence is meaningfully better — but your data, not ours, should decide.

The erased divergence as a with-trend signal. When a bearish divergence is reclaimed — price closes above the divergence high with RSI rising — the shorts who traded it are being stopped out. That is observable, not a hidden-intent story: you can see the high break. Some trend traders treat a reclaimed divergence high as a reason to look for continuation longs on the next pullback. It is a legitimate idea to test, as long as you do not invent stories about who is trapped.

Partial failure. Sometimes a divergence produces a move of about 1R and then fails. Management rules (Lesson 9) decide whether you bank part of that. There is no universally right answer — only a consistent one you can measure.

THE RULES

- A divergence is invalid the moment price closes beyond its extreme. Never move the stop to keep it alive.
- Do not act on a regular divergence without a structural break, however clean it looks.
- Apply a written staleness rule: if a divergence trade makes no progress within a fixed number of candles, close it.
- A new divergence after a stop-out is a new setup and must pass every filter again.

Summary

- Divergence fails in three common ways: stacking, sideways resolution and a reclaimed extreme.
- Stacking means momentum keeps fading while the trend keeps going; only a structural break separates the warning that matters.
- Sideways resolution repairs momentum through time; a recovering RSI without a higher high is not a reversal.
- A reclaimed extreme erases the divergence; the stop belongs exactly there.
- Watch for failure in real time — no break, RSI holding its regime, slow shallow pullbacks, time without progress — and keep a staleness rule.

CHECK YOURSELF · ANSWERS AT THE BACK

1. A strong uptrend prints a bearish divergence, then a second, higher price high with an even lower RSI high. What is this called?

   A. Hidden divergence

   B. Stacked (serial) divergence

   C. Divergence erased

   D. A range

2. After a bullish divergence, price moves sideways for 25 candles while RSI rises from 30 to 48. Price has not made a higher high. What is most likely happening?

   A. A strong reversal is under way

   B. Momentum is resetting through time, not through buying

   C. A hidden bearish divergence is forming

   D. The RSI setting is wrong

3. You are short from a confirmed bearish divergence. Price closes above the divergence high and RSI makes a fresh peak. What is the status of the idea?

   A. Weakened but still valid

   B. Dead — the divergence has been erased

   C. Stronger, because RSI is now overbought

   D. Unchanged until the target is hit

4. Which of these is a warning sign that a bearish divergence in an uptrend is failing?

   A. Price breaks the last higher low

   B. RSI drops below 30

   C. RSI's pullback stops in the 40–50 zone and turns up while price holds its higher low

   D. Price falls quickly in large candles

5. In the practice drill, why was shorting the first divergence the wrong decision?

   A. The divergence was drawn incorrectly

   B. It was the first warning in a strong trend, at no level and with no structural break

   C. Short trades are not allowed on H4

   D. RSI was below 50

6. What is the purpose of a staleness rule?

   A. To move the stop further away

   B. To close divergence trades that have made no progress within a fixed time, before they drift to the stop

C. To double the position after a loss

D. To avoid placing stops

Location — Divergence at Key Levels Only.

MODULE 3 — FILTERS, TRIGGERS AND RISK · LESSON 7

Mark levels from structure before looking at RSI, and only treat a divergence as a candidate when it forms at one of those pre-marked levels.

Here is the lesson that separates a divergence method from a YouTube thumbnail. Raw divergence — taken everywhere it appears — fires far too often, and most of the fires are false alarms. Anyone who has honestly back-tested it will tell you the same slightly deflating thing. The fix is not a better oscillator. The fix is refusing to act on divergence unless the chart gives it **somewhere to matter**.

Structure is the filter; divergence is the fuel. This lesson installs the first and most important filter: location.

Divergence only matters somewhere

Ask one question of every divergence: *where did it form?*

A bearish divergence in the middle of a trend, with no level anywhere near, is trivia. It tells you the latest push was a little less one-sided than the last one, which is true of almost every push in an ageing trend. The same divergence forming at a level where you would *already* expect sellers is evidence — two independent observations telling the same story.



A genuine bearish divergence — RSI from the 90s to the high 60s — but there is no prior high, no range ceiling and no higher-timeframe level within sight. Nothing on the chart gave sellers a reason to appear here, and the uptrend simply continued after a shallow dip.

What counts as a level

The usual suspects, which you will have met in other Trading Foundry courses:

- **A prior swing high or low** the market has clearly respected before.
- **A range boundary** with at least two clean touches.
- **A zone left by an impulsive departure** — the base of a sharp move that price has not revisited (what supply-and-demand traders call a supply or demand zone).
- **A higher-timeframe level** visible on the daily or weekly chart.
- **A broken level, retested from the other side** — old resistance acting as support, or the reverse.

The common thread: **the level exists without the oscillator.** You should be able to hide the RSI panel entirely and still say "if this market stalls anywhere, it stalls here". Only then does divergence at that spot mean something.



The prior high at the start of the chart marks a resistance zone before RSI is even consulted. Price returns to it twice; the second push pokes slightly higher on weaker momentum (RSI from the low 80s to the mid-60s). Momentum fading exactly where sellers were already expected is two witnesses agreeing.

KEY POINT

level first, divergence second. Divergence grades the approach into a level; it never creates the level.

Mark levels before you look at RSI

The order matters more than it sounds. If you spot a divergence first and then look for a level to justify it, you will always find one — every chart has *some* old high or round number nearby. That is confirmation bias with extra steps, and your journal will eventually say so in writing.

So build a routine:

1. **Before the session, hide the RSI panel.** Mark the levels on your trading timeframe and one higher timeframe from structure alone. Three to five levels per chart is plenty; twenty is wallpaper.
2. **Show the RSI panel.** Now watch how price *approaches* each level.
3. **Grade the approach.** Momentum fading into the level (divergence) is a candidate. Momentum accelerating into the level (RSI making new highs with price) suggests the level may break.

That last point deserves emphasis. RSI is useful at a level in *both* directions. A push into resistance with rising RSI — no divergence, strong momentum — is a warning that the level may not hold, and a reason not to fade it.

A trade at support — and the version that failed

Here is the whole idea assembled (technique, not a signal). USD/JPY on the H1. A support zone has been marked from the daily chart. Price crashes into it, bounces, then grinds back down to a marginal lower low inside the zone while RSI holds a much higher low. A bullish engulfing candle forms at the zone.



Level marked first, from the daily chart. Divergence second: a marginal lower low with RSI rising from the high teens to the mid-30s. Trigger third: the engulfing candle. Stop beneath the zone, target at the bounce high that started the grind — about 2.4R. The level held and the target was reached.

Now the same set-up with the same rules, where the level gave way.



Identical location, divergence and trigger. This time the bounce fails within a few candles, price closes through the zone and the stop beneath it is hit for 1R. Levels are where reactions are likely, not guaranteed — which is why the stop lives just beyond the level and the size is fixed before entry.

Two points about the losing trade. First, nothing in the set-up was wrong; filtered divergence still loses, and your rules must assume it. Second, the stop placement made the loss small and unambiguous: once price is through the level, both reasons for the trade — the level and the divergence low — are gone.

COMMON MISTAKE

widening the stop when price dips into the zone "because the level is a zone, not a line". Define the zone's far edge before entry and put the stop beyond it. Zones are not elastic.

Structure around the level

Location is not only about the level itself; it is also about how price *arrives*. Three structural details raise or lower the quality of a divergence at a level:

- **Context of the trend.** Bullish divergence at support *in an uptrend's pullback* (a with-trend setup) is a stronger proposition than bullish divergence at support in the middle of a powerful downtrend. In the second case you are calling a bottom.
- **Number of previous tests.** A level touched for the second or third time is usually more meaningful than one touched for the sixth. Each test consumes some of the orders resting there — or, more observably, each test that holds by less suggests the level is wearing thin.

- **Overshoot.** A marginal poke beyond the level that closes back inside it is often a stronger sign than a clean touch. A close well beyond the level is not a poke — it is a break.

Building a level map: a worked example

Here is what the pre-session routine produces on an illustrative chart. GBP/USD, trading timeframe H1, higher timeframe H4. RSI panel hidden.

From the H4: - A weekly-scale swing high at 1.2860–1.2875, which turned price down sharply twice in the past month. - A demand zone at 1.2655–1.2675, the base of an impulsive rally that has not been revisited.

From the H1: - The current range ceiling at 1.2790–1.2800, tested twice in the last three days. - The current range floor at 1.2720–1.2730, tested three times. - A broken high at 1.2755, which acted as resistance last week and support yesterday.

Five levels. Each written down with a price and a one-line reason. Now the plan for the session writes itself: *"If price reaches 1.2790–1.2800 and the push in shows bearish divergence, it is a range-edge candidate. If price reaches 1.2720–1.2730 with bullish divergence, it is a range-edge candidate. If price pushes into 1.2790 with RSI making new highs, the ceiling may break — no fade. Anywhere else, no divergence trade."*

Two things about that plan deserve attention. First, it tells you what to *ignore*: a divergence at 1.2770, in the middle of the range, is simply not on the list. Second, it was written before RSI was visible, so no divergence could influence where the levels went. When a divergence later forms at one of those prices, you can trust that the level and the oscillator are genuinely independent witnesses.

Keep the map short. A chart with fifteen lines on it has a level everywhere, which is the same as having a level nowhere.

Practice drill



Practice drill. A resistance zone was marked from the earlier high before RSI was consulted. Price has just pushed into it a second time and made a slightly higher high, with RSI lower than at the previous test. Is this a trade right now?

THE REVEAL



THE ANSWER

Not yet — it is a valid candidate, which is different. Level, divergence and location all line up, so the setup goes on the watch list. What it lacks is a trigger: a rejection candle or a break of the last swing low (Lesson 8). Here price turned down from the zone and broke the prior swing low within a few candles, which is the moment it became actionable.

Going deeper

Why location works, observably. Levels concentrate decisions. Traders place orders at prior highs and lows, stops cluster beyond them, and many participants use the same obvious reference points. You do not need to know *who* is acting there — only that the chart shows repeated reactions at that price. Divergence at that spot tells you the latest push arrived with less force than the last one. Price first; any story about intent comes second, and is optional.

Grading the confluence. A simple, testable scoring idea: one point each for a higher-timeframe level, a prior swing on the trading timeframe, a range boundary, and a retest of a broken level. Divergence only becomes a candidate at a location scoring two or more. Your testing will tell you whether the threshold earns its keep.

Round numbers. Big figures (1.1000, 150.00) attract orders and attention, but they are not structure on their own. Treat them as a bonus point when they coincide with a structural level, not as a level in their own right.

When divergence and level disagree. A push into resistance with *rising* RSI is the opposite of divergence: momentum is accelerating into the level. Fading that is fading strength at the exact moment the market is showing it. Many level breaks look like this in hindsight.

THE RULES

- Mark levels from structure, with the RSI panel hidden, before the session.
- Only treat divergence as a candidate when it forms at a pre-marked level.
- Rising RSI into a level is a warning that the level may break — do not fade it.
- The stop for a divergence-at-level trade sits beyond the far edge of the level, defined before entry.

Summary

- Unfiltered divergence over-fires; location is the first and most important filter.
- A valid level exists without the oscillator: prior swings, range boundaries, impulsive bases, higher-timeframe levels, retests.
- Mark levels first, then use RSI to grade how price approaches them.
- Divergence at a level is a candidate, not a trade; it still needs a trigger.
- Levels fail too: stops go beyond the level's far edge and losses stay at 1R.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which of these is a valid level for a divergence setup?

   A. The point where RSI crossed 70

   B. A prior swing high that turned price down twice

   C. Wherever the divergence formed

   D. The middle of the last candle

2. What routine does this lesson recommend for marking levels?

   A. Find divergences first, then look for nearby levels

   B. Hide RSI, mark levels from structure, then use RSI to grade approaches

   C. Only use round numbers

   D. Mark at least twenty levels per chart

3. Price pushes into a resistance zone and RSI makes a new high along with price. What does this suggest?

   A. A strong bearish divergence

   B. Momentum is accelerating into the level — it may break, so do not fade it

   C. A hidden bullish divergence

   D. Nothing at all

4. In the drill, divergence formed at a pre-marked resistance zone. Why was the answer 'not yet'?

   A. The level was invalid

   B. There was no divergence

   C. It was a valid candidate but lacked a trigger

   D. Shorts are never allowed at resistance

5. In the losing support trade, what made the loss acceptable?

   A. The trader widened the stop to give it room

   B. The stop sat beyond the level's far edge, so the loss was the planned 1R once both reasons for the trade were gone

   C. The trade was closed at breakeven

   D. The target was moved closer

Confirmation Triggers — From Warning to Entry.

MODULE 3 — FILTERS, TRIGGERS AND RISK · LESSON 8

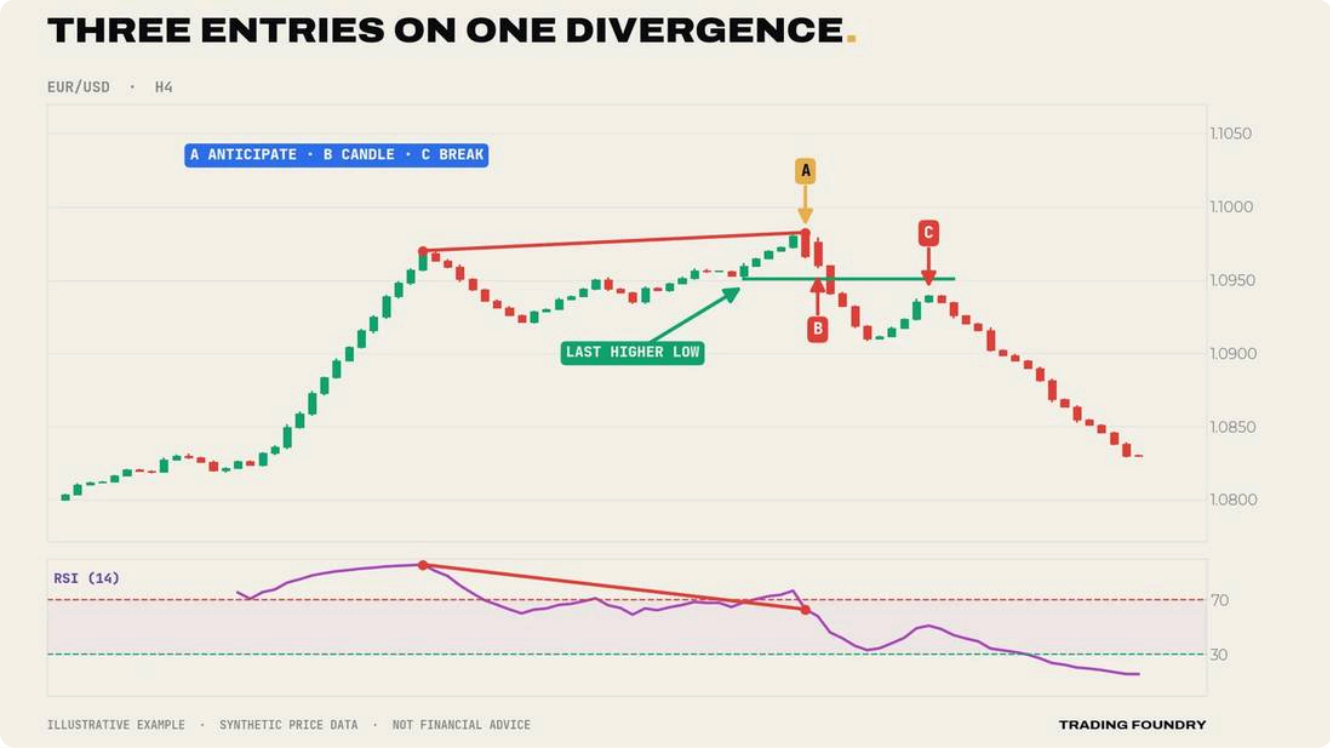
Choose between the anticipatory, trigger-candle and structure-break entries, apply each one on a closing basis, and match the amount of confirmation to the type of divergence.

By now you have a divergence at a level. You have a candidate. This lesson is about the next question, the one that decides whether the candidate becomes a trade: **when exactly do you start paying for the idea?**

Divergence is early by design. Lesson 6 showed what that earliness costs: stacking, sideways resolution, reclaimed extremes. Confirmation is how you buy back some certainty. It is never free — the confirmed entry is always at a worse price than the prophetic one — but across a large number of trades, the divergences you skip because they never confirmed usually pay for the worse entries several times over.

Three ways in

There are three standard triggers, in ascending order of confirmation and therefore descending order of entry price. There is no free lunch here — only a choice of what you would rather pay with: price or certainty.



One bearish divergence, three possible entries. A sells at the new high as the divergence completes — best price, least evidence. B sells the close of the bearish engulfing candle — a rejection you watched happen. C waits for a close below the last higher low and sells the pullback after it — worst price, strongest evidence.

A — The anticipatory entry

Enter at the level as the divergence completes, before any confirmation. Best price, tightest stop, highest failure rate: you are trading the warning itself, and Lesson 4 told you what warnings do — they stack.

Our view: reserve this, if you use it at all, for **hidden** divergence in strong trends, where the base rate is already on your side. For regular divergence it is the well-dressed version of catching a falling knife.

B — The trigger-candle entry

Wait for a **rejection candle** at the level — a bearish engulfing or a long upper-wick pin bar for shorts, the mirrors for longs — and enter on its close. Middling price, a stop that is still close (beyond the candle's extreme and the divergence extreme), and meaningfully better evidence: someone with size actually rejected the level, and you watched it happen.

The candle must close. A candle that looks like an engulfing with ten minutes left can finish as something quite different. Judge completed candles only.

C — The structure-break entry

Wait for the full structural confirmation from Lesson 6: price **closes** beyond the most recent swing in the opposite direction — for a bearish divergence, a close below the last higher low. That is the change of character: the uptrend's sequence of higher lows has been broken for the first time. Then enter on the break or, better, on the pullback after it.

Worst price, widest stop, strongest evidence. For regular (counter-trend) divergence, this is our default recommendation for intermediate traders: the pattern that most needs confirmation gets the most confirmation.



Level first: the H4 resistance zone. Divergence second: a higher price high with RSI falling from the 90s to the 60s. Break third: a close below the last higher low. Entry fourth: on the first pullback that fails beneath the broken low. Stop above the divergence high, target at the base of the move — about 2R.

KEY POINT

pick one trigger per setup type and write it into your rules. A trader who chooses between triggers by mood has three systems and masters none.

Confirmation by setup type

Not every setup needs the same amount of proof. The general principle: **the further a setup leans against the trend, the more confirmation it needs.**

SETUP	LEANS	SUGGESTED TRIGGER
Hidden divergence in a trend	With the trend	B — rejection candle (A only if your testing supports it)
Regular divergence at a range boundary	Neither — mean reversion	B — rejection candle at the boundary
Regular divergence against a trend	Against the trend	C — structure break, entry on the pullback

This is not the only sensible table, and your own data may move a row. But writing a table like this down is what turns "I felt it was confirmed" into a rule a stranger could follow.

The rejection candle in practice

Here is trigger B at work on a bullish divergence (technique, not a signal). Price stabs to a lower low on fading momentum, and the low itself is a long-tailed pin bar: sellers pushed price down, buyers pushed it back up, and the candle closed near its high.



The second low is a pin bar: a 24-pip lower wick and a close near the top of the candle. RSI holds far above its first low (about 39 against 12). Entry on the pin's close, stop a few pips beneath its wick, target at the earlier swing high — about 2.1R. The rejection was visible before any money was committed.

A good rejection candle has three features: it forms **at** the level (not near it), its wick extends through the level and its body closes back on the right side, and it is noticeably larger or more decisive than the candles around it. A tiny pin bar in a sea of tiny candles is not a rejection; it is a quiet hour.

The trigger you skipped — and why

Now the losing version, because every entry method needs one. The same downtrend, the same kind of divergence. This trader bought the divergence low immediately — trigger A — with no level, no rejection candle and no structural change.



A valid bullish divergence, bought at the second low with no level and no confirmation. Price bounced weakly, failed to break the prior swing high, and rolled over into new lows: stopped out for 1R. Had the trader required a close above the last lower high (trigger C), there would have been no trade at all.

The loss itself was controlled — 1R, as planned. The problem was the *process*: this trade could only have worked if the warning happened to coincide with the turn. Requiring a trigger would have filtered it out at zero cost.

COMMON MISTAKE

"confirming" on an intrabar break. Price spikes through the last swing low, you sell, and the candle closes back above it. Structural confirmation means a **close** beyond the swing — on the timeframe you trade.

Trigger C, candle by candle

Structure-break entries confuse more traders than any other part of this method, so here is the sequence written out as it would unfold in real time (an illustration of technique, not a signal). EUR/USD H4, the chart from earlier in this lesson. The H4 has rallied into a resistance zone at 1.0968–1.0986, marked before the session; any short here leans against the rally, so the written trigger is C.

- **Candle 1.** Price prints a new high at 1.0982 inside the zone. RSI reads 63, against 96 at the previous swing high. Bearish divergence at a level: the setup is now a *candidate*. Action: none. Note the last higher low — 1.0951.
- **Candles 2–3.** A bearish engulfing candle closes at 1.0960. For a trigger-B trader this would be the entry. For our counter-trend rule, it is not enough. Action: none.

- **Candle 4.** A candle closes at 1.0944, below 1.0951. Structure has broken on a closing basis. The setup is now *confirmed*. Action: prepare the order — but do not chase the break candle.
- **Candles 5–9.** Price falls further, then pulls back. The pullback stalls around 1.0938–1.0940, beneath the broken higher low. Action: sell at 1.0938, stop at 1.0988 above the divergence high, target 1.0836 at the base of the move. Risk 50 pips, reward 102 pips — just over 2R. Size so that 50 pips equals the fixed risk.

The discipline lies in the gaps: three separate moments where a less patient trader would have entered, and one rule that said "not yet" each time. Sometimes that patience costs a trade — the pullback never comes and price falls without you. Over many trades, the structure filter tends to repay that cost by removing the divergences that never break at all.

Practice drill



Practice drill. Bearish divergence at the high, and the latest candle has spiked eight pips below the last higher low. Your rule for regular divergence is trigger C: a structure break. Is the trade on?

THE REVEAL



THE ANSWER

No trade. The candle's wick went through the level but its body closed back above it — structure was not broken on a closing basis. Price then rallied to a new high, erasing the divergence. Anyone who sold the wick was stopped out; anyone who waited for a close was never in.

Going deeper

Quantifying the trade-off. Suppose — hypothetically — that on a given divergence the anticipatory entry is 45 pips better than the structure-break entry. If, across your sample, a third of the divergences never confirm and would each have cost 1R as anticipatory trades, then the anticipatory approach is paying for its better price with a stream of avoidable losses. Your testing (Lesson 10) should record, for every divergence, where each trigger would have entered. That tells you, on your own data, which trigger earns its keep.

Break-and-retest versus break entry. Entering on the break candle's close gets you in sooner but often at a stretched price, with the stop a long way above. Waiting for the pullback improves the price and lets you place the stop above the pullback's high rather than the divergence high — though some breaks never pull back and you miss them. Neither choice is wrong; mixing them is.

Timeframe of the trigger. The trigger can live on a lower timeframe than the setup: an H4 divergence at a daily level, triggered by an H1 structure break. This tightens the stop and improves the R multiple, at the cost of more noise. Lesson 9 covers the timeframe roles that keep this disciplined.

What confirmation does not do. It does not turn divergence into a high-certainty event. Lesson 6's reclaimed-extreme trade had full confirmation and still lost. Confirmation shifts the odds and removes a class of obvious losers; it does not remove risk.

THE RULES

- Choose one trigger per setup type and write it down: A anticipate, B rejection candle, C structure break.
- Regular divergence against a trend requires trigger C: a candle close beyond the last opposing swing.
- Judge triggers on closed candles only — never on intrabar spikes.
- If the trigger has not fired, there is no trade, however good the divergence looks.

Summary

- Confirmation trades entry price for certainty; across many trades, skipped non-confirmations usually outweigh worse entries.
- Trigger A (anticipate) is cheapest and least reliable; B (rejection candle) is the middle ground; C (structure break) is the strongest evidence.
- The further a setup leans against the trend, the more confirmation it needs.
- Rejection candles must form at the level, close decisively, and stand out from their neighbours.
- Structure breaks count only on a close; a wick through the level is not a break.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which trigger gives the best entry price but the least evidence?

   A. Structure-break entry

   B. Trigger-candle entry

   C. Anticipatory entry

   D. Break-and-retest entry

2. For a regular bearish divergence against an established uptrend, which trigger does this lesson recommend for intermediate traders?

   A. A — anticipate at the high

   B. B — any small red candle

   C. C — a close below the last higher low, entering on the pullback

   D. No trigger is needed

3. A candle wicks 8 pips below the last higher low but closes back above it. Has structure broken?

   A. Yes — price traded below the level

   B. No — structural breaks count on a close

   C. Yes, if RSI is below 50

   D. Only on Fridays

4. Which of these is the best rejection candle at a bullish divergence low?

   A. A tiny pin bar among many tiny candles, away from the level

   B. A large pin bar at the level whose wick pierces it and whose body closes near the high

   C. Any green candle within 30 pips of the level

   D. A doji in the middle of the range

5. Why did the 'entered on the warning alone' trade represent a process error even though the loss was only 1R?

   A. Because the stop was too tight

   B. Because it relied on the warning coinciding with the turn, with no level and no trigger to filter it

   C. Because the target was too ambitious

   D. Because it was on GBP/USD

6. What does this lesson say about mixing triggers?

   A. Use whichever feels right on the day

   B. Pick one per setup type and write it into your rules

C. Always use all three at once

D. Triggers are optional

Stops, Targets and the Bigger Picture.

MODULE 3 — FILTERS, TRIGGERS AND RISK · LESSON 9

Place stops at the point where the divergence idea is dead, size positions from that distance, set structure-based targets that pay at least 2R, and use a higher timeframe to decide which divergences you are allowed to trade.

Everything so far has been analysis: reading momentum, spotting divergence, filtering by location, waiting for confirmation. Analysis produces a candidate. This lesson is about the unglamorous machinery that turns a candidate into a controlled risk — the stop, the size, the target — and about the bigger picture that decides which candidates you are allowed to consider in the first place.

It is the least exciting lesson in the course and probably the most important.

Invalidation first

Most traders think about entries first, stops second and invalidation never. Build it in exactly the reverse order.

Invalidation is the price event that proves the idea wrong — not uncomfortable, *wrong*. Each divergence setup has a natural invalidation point:

- **Regular bearish divergence, confirmed by a structure break:** the idea is "momentum failed at the high and structure has cracked". It is dead if price reclaims the divergence high.
- **Regular bullish divergence:** dead if price closes below the divergence low.
- **Hidden bullish divergence:** dead the moment the protected higher low breaks.
- **Hidden bearish divergence:** dead the moment the protected lower high breaks.

Your stop's job is to be the mechanical enforcement of that invalidation. Stop and invalidation live at essentially the same place, with a sensible buffer for spread and noise. A stop closer than invalidation gets you removed from correct ideas by ordinary wobble. A stop further away means paying extra to stay wrong for longer.



The idea is 'momentum failed at the high'. It dies if price reclaims that high, so the stop sits just above it with a small buffer for spread. Entry on the pullback after the break of the last higher low; target at the base of the final leg. Risk $4.90 per ounce, reward $9.80 — 2R. Every number was known before entry.

KEY POINT

write the invalidation price down before entry. The number you wrote while flat is the last message from your objective self. After entry, you are a position-holder with hopes.

Two valid stop locations

With a structure-break entry (trigger C), you often have a choice between two honest stops:

1. **Beyond the divergence extreme.** The widest stop, and the one that matches the original idea exactly.
2. **Beyond the new swing created by the break-and-retest.** After a bullish divergence and a break above the last lower high, price often pulls back to a **higher low**. A stop beneath that new higher low is tighter, and it is still logical: if that higher low breaks, the new structure has failed.

Both are legitimate. The second gives a better R multiple and a higher chance of being stopped out by noise. Choose one per setup type, write it down, and test it.

Size comes from the stop — never the other way round

Once the stop distance is known, the position size follows from a single formula:

Position size = (account × risk %) ÷ (stop distance × value per pip)

A worked example, with illustrative numbers. Account: £10,000. Risk per trade: 1%, so £100. Stop distance: 40 pips on EUR/GBP. The position must be sized so that 40 pips equals £100, which is £2.50 per pip. EUR/GBP is quoted in sterling, so one mini lot (0.1) is worth £1 per pip, and the position is 0.25 lots. (On pairs not quoted in your account currency, the value per pip must be converted first; your platform's calculator does this.)

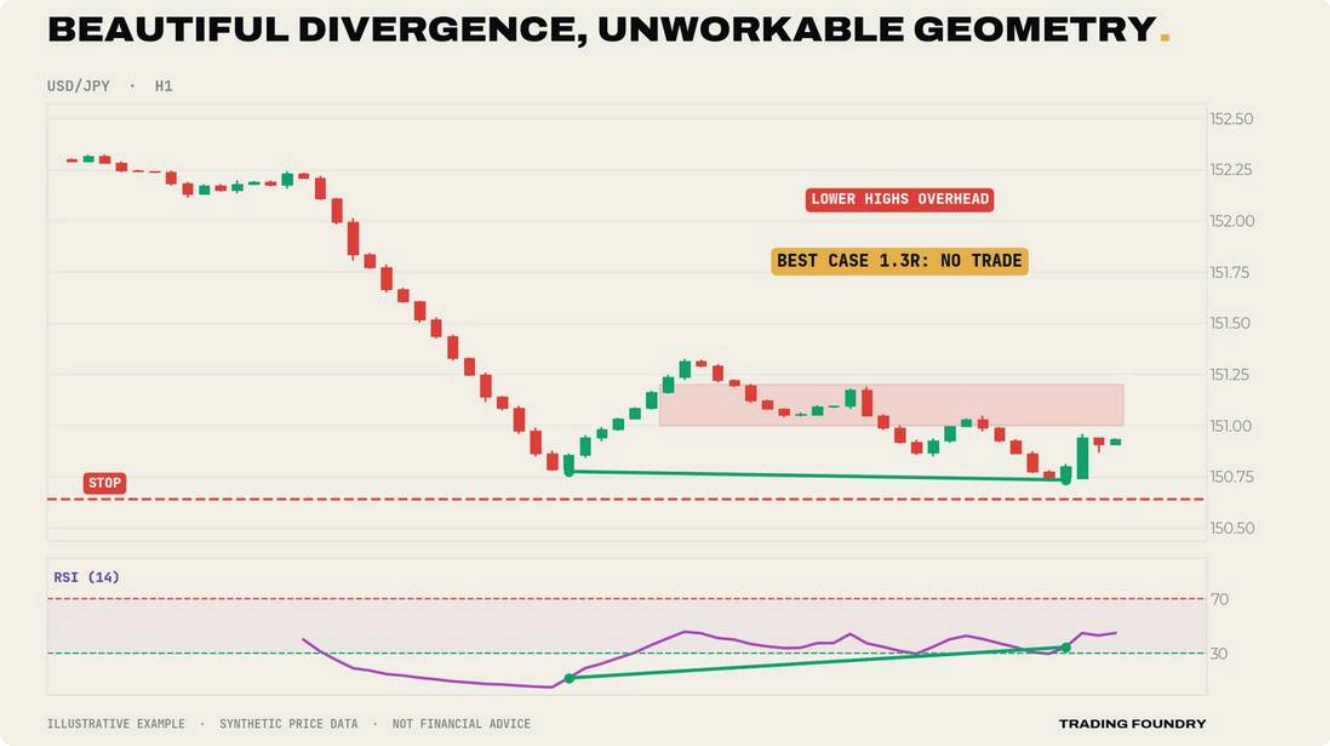
If the stop were 80 pips, the size would halve. The money at risk stays at £100. That is the whole point: **the stop is placed by the chart, and the size absorbs the distance**. Never place a stop to suit a position size you had already decided on — that is how stops end up in the middle of nowhere.

Most traders learning a new method should risk between 0.5% and 1% per trade. Divergence methods produce losing streaks (Lesson 6), and small risk is what lets you survive them while you find out whether your rules work.

Targets from structure, not hope

Targets for divergence trades come from the chart: the opposite side of a range, the swing low or high that started the final leg, the next higher-timeframe level in the path. Measure honestly — to the **near edge** of the target zone, not the far one.

Then do the arithmetic before entry. If the honest target is 1.4 times the risk and your rules demand 2, the setup fails on geometry alone, however beautiful the divergence.



A clean bullish divergence with an engulfing trigger. But from an entry near 150.94 with a stop under the low at 150.64, the first obstacle — a cluster of lower highs — starts only 6 pips above entry, and the most generous target is about 1.3R. The pattern is fine; the trade is not. Pass.

Passing on pretty-but-unprofitable setups is a skill, and it is learned here, one declined trade at a time.

Why the ratio matters so much here

Divergence trading — even filtered and confirmed — produces plenty of losers. Warnings fire early, some confirmed breaks fail, some targets die 80% of the way there. Consider the arithmetic, using clearly hypothetical numbers. A method that risks 1R to make 2R breaks even at a win rate of 33%. A method that risks 1R to make 0.8R needs a win rate above 55% just to break even. You do not control which trades win. You do control the geometry of every one.

Managing the trade

The intermediate trader's two chief in-trade sins are moving the stop away from invalidation ("it just needs room") and snatching profits at 0.5R because green felt nice. Both are the position-holder's hope overruling the flat trader's plan. Decide management in advance. A simple, testable template:

- **No stop movement** until price has made a new structural swing in your favour.
- **Stop to breakeven** only once that new swing exists — not because the trade is up 20 pips.
- **One target** at the planned structure level, or a partial at 1R and the remainder at the target — but the same choice every time.
- **Staleness rule** from Lesson 6: no meaningful progress within a fixed number of candles, close it.

The bigger picture: two timeframes, two jobs

RSI on different timeframes will disagree at any given moment. The daily might read 63 and rising while the H1 prints a bearish divergence and the M15 sits at 27. None of these is wrong. Each answers a different question. Trouble starts when traders pick whichever answer supports the trade they already want. That habit has a name — timeframe shopping — and your journal will expose it quickly.

The fix is to give each timeframe one fixed job, decided before the session:

- **The higher timeframe sets the regime.** Run Lesson 3's diagnosis here: trend or range, and which way. The output is one sentence — "this market is in an uptrend; I am only interested in longs" — and that sentence is law for the session.
- **The lower timeframe finds the entry within that law.** This is where divergence and triggers do their work.

A convenient spacing is a factor of four to six between the two: daily with H4, H4 with H1, H1 with M15.

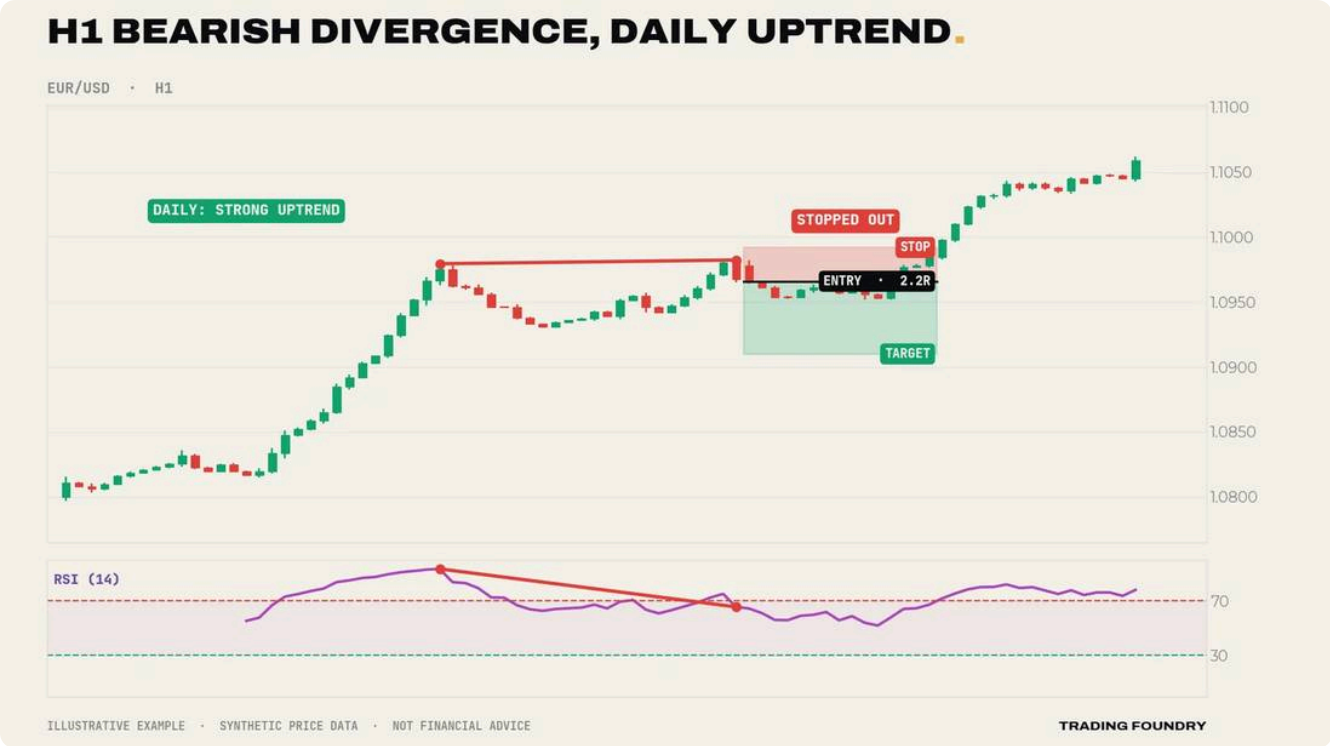
Here is the alignment that, in our view, offers the best divergence context in the whole course. When a higher-timeframe uptrend pulls back, that pullback is a *downtrend* on the lower timeframe. As it exhausts into a higher-timeframe support level, the lower timeframe often prints **regular bullish divergence**. A lower-timeframe reversal pattern, in the direction of the higher-timeframe trend, at a higher-timeframe level.



On the daily chart this is just a pullback in an uptrend. On the H1 it is a downtrend that reaches daily support, prints a lower low with RSI rising from 18 to 32, then closes above the last lower high. Entry on the retest, stop beneath the new higher low, target at the start of the H1 decline — over 3R, with every timeframe pointing the same way.

When the timeframes argue

The hierarchy is not democratic: **the higher timeframe outranks the lower, always.** A lower-timeframe divergence against the higher-timeframe trend is not a trade. At most it is a service announcement — the pullback may be starting, tighten management on existing longs, do not add new ones.



The H1 shows a textbook bearish divergence and an engulfing trigger, so this trader sold. But the daily regime was a strong uptrend, which makes this pattern a pause in a bigger move rather than a reversal. The H1 'downtrend' never broke structure and the stop was hit. The higher timeframe outranks the lower.

It becomes a trade only in the rare case where the higher timeframe itself has printed the full sequence — divergence at a level plus a structural break — at which point the regime sentence changes, and with it everything below.

COMMON MISTAKE

adding a third, fourth and fifth timeframe "for completeness". Every extra frame adds a voice to the committee and another permission slip to find what you were hoping for. Two frames with clear jobs beat five frames with opinions.

Going deeper

ATR buffers. A fixed 5-pip buffer is too wide on EUR/USD M15 and too narrow on GBP/JPY H4. A common alternative is a buffer of 0.1–0.25 × ATR(14) of the entry timeframe beyond the invalidation price. It scales with volatility, and it is easy to test.

The cost of the wide stop. Trigger C entries often leave the divergence extreme a long way away. If the honest target does not pay 2R from there, either use the tighter post-break swing as the stop (if your rules permit it) or pass. Never shrink the stop to an arbitrary distance to rescue the ratio — that is pain-threshold thinking, not invalidation thinking.

Spread and slippage. For short-term divergence trades, costs are a meaningful slice of R. A 2-pip round-trip cost on a 15-pip stop is more than 13% of the risk. Include costs in your R calculations when testing; the

shorter the timeframe, the more they matter.

Correlated positions. Two "independent" divergence longs on EUR/USD and GBP/USD are, much of the time, one trade on the US dollar at twice the risk. Cap total open risk across correlated pairs.

THE RULES

- Write the invalidation price before entry; the stop enforces it with a small buffer.
- Size every position from the stop distance so that the loss at the stop equals the planned risk (illustratively 0.5–1%).
- Targets come from structure, measured to the near edge; skip any setup that does not pay at least 2R.
- The higher timeframe sets the regime; only take lower-timeframe divergence in that direction.
- Never move a stop away from invalidation.

Summary

- Invalidation comes first; the stop is its mechanical enforcement, not a pain threshold.
- Size from the stop distance so every loss is the planned amount; small risk survives losing streaks.
- Targets come from structure, measured honestly; setups under 2R are skipped regardless of how good the divergence looks.
- Decide management rules in advance and apply them identically.
- Two timeframes, two jobs: higher sets the regime, lower provides divergence and trigger — and the higher outranks the lower.

CHECK YOURSELF · ANSWERS AT THE BACK

1. You are short from a confirmed regular bearish divergence. Where does the invalidation-based stop belong?

   A. A fixed 20 pips above entry

   B. Just above the divergence high, with a small buffer

   C. Below the entry

   D. Wherever keeps the loss under £50 with your usual size

2. Account £10,000, risk 1%, stop 50 pips. How much should each pip be worth?

   A. £1

   B. £2

   C. £5

   D. £10

3. A bullish divergence setup has a 30-pip stop. The nearest opposing level is 40 pips above entry and your rules require 2R. What do you do?

   A. Take it — the divergence is clean

   B. Shrink the stop to 20 pips so the ratio works

   C. Pass — the honest geometry is about 1.3R

   D. Move the target beyond the level

4. The daily chart is a strong uptrend. Your H1 shows a clean bearish divergence at a minor high. What does the timeframe hierarchy say?

   A. Short it — the H1 is your entry timeframe

   B. It is not a trade; at most a reason to tighten management on longs

   C. Short with double size

   D. Switch the regime timeframe to M15

5. Which lower-timeframe pattern does this lesson describe as the best divergence context?

   A. Regular bearish divergence against the daily uptrend

   B. Regular bullish divergence on the H1 as a daily uptrend's pullback reaches daily support

   C. Hidden divergence in a range

   D. Any divergence on five timeframes at once

6. Why should the stop never be moved further away once a trade is open?

   A. Brokers forbid it

   B. It converts a defined risk into an undefined one and pays extra to stay wrong

C. It always improves the win rate

D. It reduces spread costs

Capstone — The Complete RSI Divergence Playbook.

MODULE 4 — CAPSTONE · LESSON 10

Run the full method from regime diagnosis to journal entry, follow three complete worked trades including a loser, and leave with the strategy passport, the pre-trade checklist and a plan for testing it yourself.

This is where the pieces become one machine. Nine lessons have each installed a part: what RSI measures, why the 70/30 folklore fails, how regimes shift the scale, the two kinds of divergence, how divergence fails, location, confirmation, and risk. On their own, each part is interesting. Assembled, in a fixed order, they are a method you can test, follow and improve.

This lesson gives you the playbook step by step, three complete worked trades — one of them a loss — the one-page strategy passport, the full pre-trade checklist, and a plan for proving the method to yourself before you trust it with real money.

The playbook, step by step

Before the session

1. **Diagnose the regime on the higher timeframe** (Lesson 3). Structure first, RSI's working range second, the 50 line third. Write one sentence: "uptrend — longs only", "downtrend — shorts only", or "range — fades at the edges only". If the checks disagree, write "transition — no trades".
2. **Mark levels with RSI hidden** (Lesson 7) on the higher timeframe and the trading timeframe. Three to five per chart.

During the session

3. **Wait for price to reach a level.** Nothing happens in between.
4. **Read the approach.** Is RSI showing the divergence type that suits the regime? In a trend, hidden divergence at pullbacks, or regular divergence on the lower timeframe as a higher-timeframe pullback exhausts. In a range, regular divergence at the boundary. Rising RSI into the level means stand aside.
5. **Check the drawing** (Lesson 4). Adjacent, genuine swings; RSI read at the same candles; a difference of at least 4–5 points.
6. **Wait for the written trigger** (Lesson 8). B — a closed rejection candle — for with-trend and range setups; C — a closed break of the last opposing swing — for counter-trend setups.
7. **Do the geometry** (Lesson 9). Invalidation price, stop with buffer, structure target to the near edge. At least 2R or no trade.
8. **Size from the stop.** Risk a fixed 0.5–1% (illustrative). Enter.

After entry

9. **Manage by the rules you wrote.** No stop movement until a new swing forms in your favour; staleness exit if nothing happens (Lesson 6).
10. **Journal the trade** whatever the outcome — screenshot, regime, divergence type, trigger, R result, rules followed yes or no.

KEY POINT

the order is the method. Regime, level, divergence, trigger, geometry, size. A divergence discovered before the regime and the level is a temptation, not a setup.

Worked trade 1 — hidden bullish divergence with the trend

AUD/USD, H4, illustrative. The daily and H4 both show higher highs and higher lows; H4 RSI has spent forty candles between the mid-40s and the 80s. The regime sentence is "uptrend — longs only". A level was marked at the prior pullback area.

Price makes a sharp three-candle pullback to a higher low. RSI drops to the mid-40s — beneath its reading at the previous, gentler pullback (mid-60s). Hidden bullish divergence, in a diagnosed uptrend, with RSI resetting into the bull support zone. The trigger is B: the pullback ends with a bullish engulfing candle that closes near its high.



Entry 0.6614 on the engulfing close. Invalidation is the higher low at 0.6592, so the stop sits at 0.6585 — 29 pips. Target: the prior high at 0.6672, 58 pips away, 2.0R. At 1% risk on a £10,000 account the loss at the stop would be £100. Price resumed the trend and the target was hit.

What made this a good trade was not the outcome. It was that every step was answered before entry: regime, level, divergence type, trigger, geometry, size.

Worked trade 2 — regular bearish divergence at range resistance

GBP/USD, H4, illustrative. The daily shows a broad sideways market; the regime sentence is "range — fades at the edges only". The range ceiling was marked from the earlier high before the session.

Price rallies hard into the ceiling, pulls back, then grinds to a marginal new high inside the zone. RSI peaks lower on the second push: regular bearish divergence at a pre-marked boundary. Because this setup leans against the recent rally, the written trigger is C: a close below the last higher low. That arrives a few candles later, and the entry is taken on the pullback that fails beneath the broken low.



Level first (the range ceiling), divergence second (RSI from the low 70s to the low 60s on a higher high), trigger third (a close below the last higher low). Entry 1.2698 on the failed pullback, stop 1.2746 above the divergence high, target 1.2600 near the range floor's upper edge — 2.0R. The range held and the target was reached.

Worked trade 3 — the loser

EUR/USD, H1, illustrative. The H4 regime sentence was "downtrend — but approaching major H4 support; longs only on regular divergence with trigger B at that level". That is a legitimate written rule for a support bounce.

Price stabs to a lower low into the support area with RSI far above its previous low — about 39 against single digits. The low candle is a large pin bar that closes near its high: trigger B. Stop beneath the wick, target at the last swing high, about 2.1R.



Level, divergence and trigger were all present, and the geometry paid 2.1R. The bounce stalled beneath the previous swing high, price slid back through the support zone and the stop at 1.0756 was hit: −1R, exactly as planned. In the journal: rules followed — yes. That is a good trade with a bad outcome.

Look at the journal line on that chart. **Rules followed: yes.** That is the most important field in your journal, because it separates two completely different things: a bad outcome and a bad decision. Trade 3 was the first, not the second. If you cannot tell those apart, you will "fix" good rules after normal losses and keep bad habits after lucky wins.

COMMON MISTAKE

changing the rules after one loss. A single trade tells you almost nothing. Rules are judged on samples — thirty trades at the very least, a hundred to be more confident.

The strategy passport

The one-page version of everything in this course:

- **Market:** major FX pairs and gold, H1–D1. Two timeframes: higher for regime, lower for entry.
- **Wait for:** a diagnosed regime, price at a pre-marked level, and the divergence type that suits the regime — hidden divergence with a trend, regular divergence at a range edge or at a higher-timeframe level in the higher-timeframe direction.
- **Trigger:** B (closed rejection candle at the level) for with-trend and range setups; C (closed break of the last opposing swing, entry on the pullback) for counter-trend setups.
- **Stop:** beyond the invalidation point — the divergence extreme, or the protected swing for hidden divergence — plus a small buffer.

- **Target:** the nearest opposing structure, measured to its near edge; minimum 2R.
- **Avoid:** divergence away from levels, first divergences in strong trends, mid-range readings, intrabar "breaks", lower-timeframe signals against the higher-timeframe regime, and anything under 2R.

Testing it yourself

Everything in this course is a framework — the best starting hypotheses we know how to write, but still opinion until your data says otherwise. Before risking real money:

1. **Write rules a stranger could follow.** "Trade bullish divergence at support" is a mood. "H4 structure HH/HL and RSI swing lows above 40 for the last three swings; H1 regular bullish divergence between adjacent fractal swing lows inside a pre-marked H4 zone; trigger: bullish engulfing closing inside the zone; stop 0.2 × ATR below the low; target nearest H1 swing high, minimum 2R" is a rule.
2. **Back-test with the future hidden.** Use your platform's replay or scroll bar by bar. Pattern recognition with hindsight is corrupted — "of course that was the real divergence, look what happened next". Record every setup your rules flag, especially the losers, in R.
3. **Collect a real sample.** Thirty trades shows the shape; a hundred starts to settle the noise. Extract win rate, average win and loss in R, expectancy, and the **longest losing streak**. That last number is your psychological armour: if the sample contains six losses in a row, four in a row live is ordinary.
4. **Forward-test small.** Demo or minimum size, for another meaningful sample. The gap between back-test and forward test measures two things — market conditions and you.
5. **Change one rule at a time.** Then test again, so you know what did what.

None of this guarantees future results. What it buys is calibrated expectations — and the right to your own confidence.

Final practice drill



Final drill. The H4 regime sentence reads 'downtrend — shorts only'. On the H1, price bounces into a broken support level, stalls at a lower high while RSI makes a higher high, and closes a bearish engulfing candle. The plan: sell the close at 1.2786, stop 1.2812 above the bounce high, target 1.2725 just above the last swing low. Trade or no trade?

THE REVEAL



THE ANSWER

Trade. Every gate passes: regime (downtrend, shorts only), level (old support retested from below), divergence type that suits the regime (hidden bearish at a lower high), trigger B (closed engulfing), and geometry (stop 26 pips, target 61 pips — about 2.3R). Price rolled over and reached the target. It could equally have been stopped; what made it a trade was the process, not the result.

PRE-TRADE CHECKLIST

☐ Higher-timeframe regime written as one sentence: uptrend, downtrend, range — or transition (no trade)

☐ Levels marked from structure with the RSI panel hidden

☐ Price is at a pre-marked level, not near one

☐ RSI is not accelerating into the level against my idea

☐ Divergence type suits the regime (hidden with trend; regular at range edge or HTF level)

☐ Divergence drawn between adjacent genuine swings, RSI read at the same candles, gap of 4–5+ points

☐ Written trigger has fired on a closed candle (B for with-trend/range, C for counter-trend)

☐ Invalidation price written down; stop beyond it with a buffer

☐ Target from structure, measured to the near edge, at least 2R

☐ Position sized so the loss at the stop equals my fixed risk (e.g. 0.5–1%)

☐ No correlated position already carrying the same risk

☐ Management and staleness rules decided before entry

☐ Journal entry prepared: screenshot, regime, divergence type, trigger, planned R

Going deeper

Where the edge, if any, lives. Nothing in this playbook is secret, and nothing in it is new. Whatever edge it has comes from two things: filtering out the large majority of divergences that fail the gates, and consistently enforcing geometry that lets a method be wrong often and still survive. That is why most of the checklist is about saying no.

Variants worth testing. Trigger A on hidden divergence in strong trends; ATR-based stop buffers versus fixed pips; a partial at 1R; requiring RSI to have reached 70+ (or 30–) at the first point of a regular divergence. Test them one at a time, each against the same baseline.

When the journal disagrees with this course. Believe the journal. Your data, on your pairs, in your hands, outranks our opinions. A trader who has earned their rules from evidence will hold them through the losing streaks that shake out everyone who merely borrowed them.

THE RULES

- Run the playbook in order: regime, level, divergence, trigger, geometry, size, management, journal.
- No level, no trade. No trigger, no trade. Under 2R, no trade.
- Judge rules on samples of at least 30 trades, never on one outcome.
- Record "rules followed: yes/no" on every trade.

Summary

- The method is an ordered sequence: regime, level, divergence, trigger, geometry, size, management, journal.
- Hidden divergence with the trend and regular divergence at range edges or higher-timeframe levels are the core setups.
- Good trades can lose; the journal's "rules followed" field separates bad outcomes from bad decisions.
- The passport and checklist are your pre-trade summary; most of their job is to say no.
- Test the rules yourself — back-test with the future hidden, forward-test small, change one thing at a time.

CHECK YOURSELF · ANSWERS AT THE BACK

1. What is the correct order of the playbook's core steps?

   A. Divergence, level, regime, trigger

   B. Regime, level, divergence, trigger, geometry, size

   C. Trigger, divergence, size, regime

   D. Level, size, divergence, regime

2. In Worked trade 3, every rule was followed and the trade lost 1R. How should it be recorded?

   A. As a mistake — the rules need changing

   B. As a good trade with a bad outcome: rules followed — yes

   C. It should not be recorded

   D. As a win, because the loss was small

3. Which trigger does the passport assign to a counter-trend regular divergence?

   A. A — anticipate

   B. B — rejection candle

   C. C — closed break of the last opposing swing, entry on the pullback

   D. No trigger is needed

4. In the final drill, which divergence type was present, and why did it suit the regime?

   A. Regular bullish, because the trend was down

   B. Hidden bearish at a lower high, which is a continuation pattern in a downtrend

   C. Regular bearish at a new high

   D. None — it was not a divergence

5. How many trades does this course suggest as a bare minimum before judging a set of rules?

   A. 5

   B. 10

   C. 30

   D. 1

6. Which of these belongs in the passport's 'avoid' list?

   A. Hidden divergence in a diagnosed trend at a level

   B. The first divergence in a strong trend, away from any level

   C. A closed engulfing trigger at a pre-marked range edge

   D. Targets of 2R or more

Strategy passport.

The whole setup on one page. Print it and keep it by your screen.

MARKET

Major FX pairs and gold on H1–D1, using two timeframes: the higher sets the regime, the lower times the entry.

WAIT FOR

A diagnosed regime, price at a level marked before RSI was consulted, and the divergence type that suits the regime — hidden divergence with a trend, regular divergence at a range edge or at a higher-timeframe level in the higher-timeframe direction.

TRIGGER

A closed rejection candle at the level for with-trend and range setups; a closed break of the last opposing swing, entered on the pullback, for counter-trend setups.

STOP

Beyond the point where the idea is dead — the divergence extreme, or the protected swing for hidden divergence — plus a small buffer. Size from the stop at a fixed 0.5–1% risk (illustrative).

TARGET

The nearest opposing structure, measured to its near edge. Minimum 2R or no trade.

AVOID

Divergence away from levels, the first divergence in a strong trend, mid-range RSI readings, intrabar 'breaks', lower-timeframe signals against the higher-timeframe regime, and anything under 2R.

Quiz answers.

Lesson 1, Q1: B. RS = 9 ÷ 3 = 3, so RSI = 100 − 100 ÷ (1 + 3) = 75.

Lesson 1, Q2: B. RSI compares the size of up-closes with down-closes. Leg A has almost no down-closes, so its ratio — and its RSI — is much higher. Distance alone does not set RSI.

Lesson 1, Q3: C. Wilder's smoothing decays old values gradually. With flat price, the big earlier losses fade and RSI drifts back towards 50 without any meaningful buying.

Lesson 1, Q4: B. RSI only describes the recent balance of up-closes and down-closes. The other three options are conclusions the maths does not support.

Lesson 1, Q5: C. No setting is provably optimal. Staying on the default keeps observations repeatable and stops you curve-fitting settings to past charts.

Lesson 2, Q1: B. An embedded reading above 70 is what a powerful trend looks like mathematically: up-closes dominating for a long time. It is not a reversal signal.

Lesson 2, Q2: C. Only at the boundary of a confirmed range does an extreme coincide with a level where reversal is the ordinary outcome. The others are trend signatures or mid-range noise.

Lesson 2, Q3: C. Ranges end with breakouts that look overbought. Regime denial is the trap. A breakout is evidence the regime may have changed, and any fade must be capped by its stop.

Lesson 2, Q4: C. An extreme in a trend is strength, so fading is wrong; but entering at the far end of a stretched leg gives poor stop placement and poor reward, so chasing is wrong too.

Lesson 2, Q5: C. The stop capped the loss at one R as designed. The trade should never have been taken, because 'oversold' in a downtrend describes the trend rather than ending it.

Lesson 3, Q1: C. Structure is bullish and RSI's pullback lows cluster in the 40–50 bull support zone — the classic uptrend signature.

Lesson 3, Q2: B. Downtrend RSI lives roughly between 20 and 60; bounces tend to stall in the 50–60 bear resistance zone.

Lesson 3, Q3: B. RSI reaching 30 in an established uptrend, together with a broken swing, is a change of character. It is background information; a trade still needs a level and confirmation.

Lesson 3, Q4: C. When structure and RSI regime disagree, the market is in transition. The default is no new trades until the evidence agrees.

Lesson 3, Q5: B. With HH/HL structure, RSI living in its bull range and holding above 50, a high reading confirms the trend. The productive question was where the next pullback would end.

Lesson 3, Q6: C. Price first, indicator second: structure is the primary evidence, then RSI's own range, then the 50 line as a crude tie-breaker.

Lesson 4, Q1: B. A lower low in price against a higher low in RSI is regular bullish divergence: a new low reached with weaker selling momentum.

Lesson 4, Q2: B. RSI measures the size of up-closes relative to down-closes. A grinding, overlapping push produces smaller net gains than an impulsive one, so RSI prints a lower high.

Lesson 4, Q3: B. Cherry-picking oscillator points manufactures divergence. Read RSI at the same candles as the two adjacent price swings.

Lesson 4, Q4: B. A two-point difference is within normal calculation noise. This lesson suggests ignoring differences smaller than about 4–5 points.

Lesson 4, Q5: C. Regular divergence is an early warning. It justifies caution about the trend, not an entry against it.

Lesson 4, Q6: B. The divergence was valid. It warned of fading momentum, but price held its swing low and the trend resumed. Warnings need structural confirmation.

Lesson 5, Q1: B. A protected higher low in price with a deeper RSI low is hidden bullish divergence — a continuation clue.

Lesson 5, Q2: B. The idea is 'the pullback ended at a protected higher low'. Once that low breaks, the pattern no longer exists.

Lesson 5, Q3: B. A fast pullback produces large down-closes, dragging RSI lower, but structure holds — the sellers' best effort failed to make a lower low.

Lesson 5, Q4: B. Without an established trend there is nothing to continue. Hidden divergence in a range is noise.

Lesson 5, Q5: B. A correct loss is one where the stop enforces the invalidation and the loss equals the risk planned before entry.

Lesson 5, Q6: C. Hidden bearish divergence compares the bounce highs: price stalls at a lower high while RSI reaches a higher high.

Lesson 6, Q1: B. Successive regular divergences in the same trend are stacked or serial divergence. Each looks like the top; often only the last one is.

Lesson 6, Q2: B. RSI recovering without a higher high in price is often momentum repairing through time. The reversal idea is going stale.

Lesson 6, Q3: B. Once price closes beyond the divergence extreme with new momentum, the thesis is false. The stop belongs exactly there.

Lesson 6, Q4: C. If RSI holds the bull support zone and structure holds, the bull regime has survived the warning — a classic failure sign.

Lesson 6, Q5: B. The divergence was valid but unfiltered: no level, no break, and RSI still in its bull range. The trend made another high before structure finally broke.

Lesson 6, Q6: B. Divergence ideas often fail slowly. A written staleness rule ends ideas that are going nowhere instead of waiting on hope.

Lesson 7, Q1: B. A valid level exists without the oscillator. A prior swing high with clear reactions qualifies; RSI readings and the divergence itself do not.

Lesson 7, Q2: B. Marking levels before consulting RSI prevents you from manufacturing levels to justify a divergence you have already seen.

Lesson 7, Q3: B. Rising RSI into a level is the opposite of divergence. It suggests strength and a possible break.

Lesson 7, Q4: C. Location plus divergence makes a candidate. It becomes a trade only when a trigger — a rejection or a structural break — confirms it.

Lesson 7, Q5: B. Once price closed through the level, both the level and the divergence low were invalidated. The pre-defined stop capped the loss at 1R.

Lesson 8, Q1: C. Entering as the divergence completes gives the best price and tightest stop, but no confirmation that anything has turned.

Lesson 8, Q2: C. Counter-trend setups need the most confirmation. A closing break of the last higher low is the first structural evidence that the trend has changed character.

Lesson 8, Q3: B. Confirmation requires a close beyond the swing. A wick through the level that closes back inside is a test, not a break.

Lesson 8, Q4: B. A good rejection forms at the level, pierces it and closes back decisively, and stands out from its neighbours.

Lesson 8, Q5: B. The loss was correctly sized, but the trade had no filter beyond the divergence. Requiring a trigger would have removed it at no cost.

Lesson 8, Q6: B. Floating between triggers by mood creates three untestable systems. A written trigger per setup type keeps your results measurable.

Lesson 9, Q1: B. The idea dies if price reclaims the divergence high. The stop enforces that invalidation; size is then calculated from the distance.

Lesson 9, Q2: B. 1% of £10,000 is £100. £100 ÷ 50 pips = £2 per pip.

Lesson 9, Q3: C. Targets come from structure. 40 ÷ 30 ≈ 1.3R fails the rule; shrinking the stop arbitrarily would replace invalidation with wishful thinking.

Lesson 9, Q4: B. The higher timeframe outranks the lower. Lower-timeframe divergence against the higher-timeframe trend is a service announcement, not a trade.

Lesson 9, Q5: B. A lower-timeframe reversal pattern in the higher-timeframe direction, at a higher-timeframe level, aligns every timeframe.

Lesson 9, Q6: B. The stop was placed where the idea is dead. Moving it away only enlarges the loss on an idea that has already failed.

Lesson 10, Q1: B. The order is the method: diagnose the regime, mark the level, then read the divergence, wait for the trigger, check geometry and size the trade.

Lesson 10, Q2: B. Separating bad outcomes from bad decisions is the journal's main job. A single rule-following loss is normal variance, not evidence the rules are wrong.

Lesson 10, Q3: C. Setups that lean against the trend need the most confirmation: a closed structural break.

Lesson 10, Q4: B. Price made a lower high while RSI made a higher high — hidden bearish divergence, which signals continuation in the diagnosed downtrend.

Lesson 10, Q5: C. Thirty trades is a bare minimum to see the shape of a strategy; a hundred is better. Fewer tells you little more than what those few trades did.

Lesson 10, Q6: B. First divergences in strong trends and divergence away from levels are the classic false alarms the filters are designed to remove.